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UNITED STATES BANKRUPTCY COURT
CENTRAL DISTRICT OF CALIFORNIA
SANTA ANA DIVISION

In re
DONALD CHAE,

Debtor and Debtor-in-Possession.

Case No. 8:21-bk-12493-SC

Chapter 11

**FIRST AMENDED PLAN OF
REORGANIZATION OF DONALD CHAE**

**Plan Confirmation Hearing (In-Person and
via Zoom for Government):**

Date: June 15, 2023

Time: 11:00 a.m.

Ctrm.: 5C

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Santa Ana, California 92701**

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Donald Chae, the Debtor and Debtor-in-Possession ("Debtor") in the above captioned chapter 11 case ("Case"), submits this *First Amended Plan of Reorganization of Donald Chae* (the "Plan").

I. EXECUTIVE SUMMARY OF THE PLAN

The Plan is meant to effectuate a fair and equitable compromise between the Debtor and his creditors. As described herein, as of the Petition Date, the Debtor's assets were largely comprised of two parcels of real estate and equity interests in various companies. The Plan is designed to maximize the value of both categories of assets for the benefit of creditors holding Allowed Claims.

First, the Plan creates a trust (*i.e.*, the Plan Trust) for the benefit of the General Unsecured Creditors. Each holder of an Allowed General Unsecured Claim will receive a beneficial interest in the Plan Trust in satisfaction of such Claim. The Plan Trustee, selected by the Committee of Creditors Holding Unsecured Claims (the "Committee"), will be charged with administering the assets of the Plan Trust and making the Distributions required by the Plan to the Holders of Allowed Claims in accordance with the order of priority set forth in the Plan and, in particular, the Distribution Waterfalls set forth in Section III.D.6.

Second, the real estate directly owned by the Debtor has been, or will be, sold for the highest and best price. Creditors secured by the Debtor's real estate will be paid their Allowed Claims in full directly from escrow upon the closing of the sale. Any remaining net sale proceeds will be paid to the Plan Trust to be administered by the Plan Trustee. In addition, as part of the settlement embodied in the Plan, the Debtor is offering to sell, and to contribute the net proceeds from, a non-estate parcel. For this reason, and due to the other consideration provided by the Debtor under the Plan as part of his proposed settlement with creditors, the sale of real property is expected to yield meaningful sums for the Plan Trust. (*See Ex. 1.*)

Third, the Plan preserves, for creditors holding Allowed Unsecured Claims, any potential economic upside of the Debtor from the companies he owns. The Plan Trust will be admitted as the sole preferred equity member of the entities owned directly by the Debtor. The Plan Trust will

1 receive any equity distributions from such entities otherwise payable to the Debtor until the
2 "Allowed GUC Distribution Amounts" (as defined herein) are paid in full or the term of the Plan
3 Trust otherwise expires. Moreover, the Plan requires the distribution of any profits of the Direct-
4 Owned Companies (defined herein as "Excess Cash") to the Plan Trust on an annual basis. The
5 Debtor will continue to manage his companies and their respective operations and projects as is
6 currently the case, subject to the oversight of the Plan Trustee as set forth herein.

7 Fourth, the Plan settles any alleged avoidance claims against the Debtor's family members
8 that have been disclosed in this case on fair and equitable terms. The settlement effectuated by the
9 Plan is discussed in more detail in Section III.C. The Plan provides for significant proceeds far in
10 excess of any potential recoveries on the disputed claims settled therein. In exchange for the
11 valuable consideration provided under the Plan, any and all claims against any relatives of the
12 Debtor will be released upon the Effective Date of the Plan.

13 The Plan will become effective upon the date that is fifteen (15) days after entry of the
14 Confirmation Order.

15 16 **II. THE PLAN**

17 **A. What Creditors and Interest Holders Will Receive Under the Proposed Plan**

18 As required by the Bankruptcy Code, the Plan classifies Claims in various Classes
19 according to their right to priority. The Plan states whether each Class of Claims is impaired or
20 unimpaired. The Plan provides the treatment each Class will receive. In no event shall any
21 creditor receive more than the creditor's Allowed Claim, plus interest to the extent expressly
22 provided herein.

23 **B. Unclassified Claims**

24 Certain types of Claims are not placed into voting classes but are instead unclassified.
25 They are not considered impaired and they do not vote on the Plan because they are automatically
26 entitled to certain treatment under the Bankruptcy Code. Accordingly, the following Claims have
27 not been placed into a Class:
28

1. Administrative Expenses

Administrative Claims are Claims for costs or expenses of administering the Debtor's Case allowed under § 507(a)(2) of the Bankruptcy Code. The Bankruptcy Code requires that all Allowed Administrative Claims be paid on the Effective Date of the Plan, unless a particular claimant agrees to a different treatment. The following chart lists all of the Debtor's § 507(a)(2) unpaid Administrative Claims and their treatment under the Plan:

Non-Professional Administrative Claims		
Description	Estimated Amount Owed	Treatment
Ordinary-Course Administrative Claims	\$0.00	Unless the Debtor objects to an Ordinary-Course Administrative Claim, the Claim will be Allowed in accordance with the terms and conditions of the particular transaction that gave rise to the Ordinary-Course Administrative Claim, and the Person holding the Ordinary-Course Administrative Claim need not File any Request for Payment of its Claim.
Other Non-Ordinary Course Administrative Claims	\$0.00	To the extent that any Non-Ordinary Course Administrative Claims are Allowed, they will be paid in full by the Debtor on the later of (i) the Effective Date, and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the Non-Ordinary-Course Administrative Claim.
Clerk's Office Fees	\$0.00	Paid in full on or before the Effective Date.
Office of the United States Trustee Fees	\$0.00	Paid in full on or before the Effective Date.
Administrative Tax Claims	\$0.00	Unless the Debtor objects to an Administrative Tax Claim or otherwise disputes the Administrative Tax Claim in accordance with applicable law, the Claim will be Allowed in accordance with the terms and conditions of the particular transaction that gave rise to the Administrative Tax Claim, and the Person holding the Administrative Tax Claim need not file any Request for Payment of its Claim.
Total	\$0.00	

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Professional Fee Claims		
Description	Estimated Amount Owed	Treatment
Smiley Wang-Ekvall, LLP	\$1,000,000 (inclusive of fees and costs awarded on an interim basis of \$778,795.29)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Force Ten Partners, LLC	\$385,000 (inclusive of fees and costs awarded on an interim basis of \$263,158.00)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Grobstein Teeple, LLP	\$42,322 (inclusive of fees and costs awarded on an interim basis of \$23,709.50)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Greenberg Traurig, LLP	\$204,087.36 in fees and costs have been awarded on a final basis	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Buchalter, a Professional Corporation	\$184,680 (inclusive of fees and costs awarded on an interim basis of \$60,144.79)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.
Development Specialists, Inc.	\$236,500 (inclusive of fees and costs awarded on an interim basis of \$160,054.34)	Paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the claimant's Professional Fee Claim, in either case, as soon thereafter as is practicable.

Professional Fee Claims		
Description	Estimated Amount Owed	Treatment
Total	\$2,052,589.36 ¹	

The following applies to Administrative Claims asserted in the Estate:

(a) Ordinary Course Administrative Claims

Unless the Debtor or other party-in-interest objects to an Ordinary-Course Administrative Claim, the Claim will be deemed Allowed in accordance with the terms and conditions of the particular transaction that gave rise to the Ordinary-Course Administrative Claim, and the Person holding the Ordinary-Course Administrative Claim need not File any Request for Payment of its Claim. However, any Request for Payment, or Motion to allow a Claim as an Ordinary-Course Administrative Claim must be Filed with the Court and served on counsel for the Debtor and the OUST by no later than sixty (60) days after the Effective Date. The Debtor believes that there are no Ordinary-Course Administrative Claims.

(b) Non-Ordinary Course Administrative Claims

A Non-Ordinary Course Administrative Claim will be paid by the Debtor on the later of: (i) the Effective Date to the extent that prior to the Effective Date it has already been determined to be an Allowed Non-Ordinary Course Administrative Claim by the Court pursuant to a Final Order and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing the Non-Ordinary Course Administrative Claim.

Any other Non-Ordinary Course Administrative Claim will be paid by the Debtor to the extent that it is allowed by the Court only if: (i) on or before sixty (60) days after the Effective Date, the Person holding the Non-Ordinary Course Administrative Claim both Files with the Court a Request for Payment of the Non-Ordinary Course Administrative Claim and serves the Request for Payment of the Non-Ordinary Course Administrative Claim on counsel for the Reorganized

¹ The estimate of Professional Fee Claims is an estimate of the projected amounts as of the Effective Date of the Plan (including amounts allowed on an interim basis). Moreover, such estimate is only an estimate and will change based upon the services required during the Case and the amounts ultimate allowed by the Court.

Debtor, his counsel, and the OUST, and (ii) the Court, in a Final Order, allows the Non-Ordinary Course Administrative Claim.

Any party-in-interest, including, but not limited to, the Reorganized Debtor, may File an objection to such a Request for Payment within the time provided by the Bankruptcy Rules or within any other period the Court establishes. Persons holding Non-Ordinary Course Administrative Claims who do not timely File and serve a Request for Payment will be forever barred from asserting these Claims or sustaining any action seeking payment in any forum or from any court deriving from these Claims against the Estate, the Debtor, the Reorganized Debtor, the Plan Trust, the Plan Trustee, or their respective property.

(c) Professional Fee Claims

A Professional Fee Claim will be paid in full in the amount Allowed by the Court on the later of the following: (i) the Effective Date; and (ii) the date that is ten (10) Business Days after the Court enters a Final Order allowing Claimant's Professional Fee Claim, or in either case, as soon thereafter as is practicable.

A Professional Fee Claim will be paid only if (i) on or before sixty (60) days after the Effective Date (or such further date if extended by Court order), the Person holding the Professional Fee Claim both Files with the Court an application requesting allowance and payment of the Professional Fee Claim; and (ii) the Professional Fee Claim is allowed by order of the Court (as to which fourteen (14) days has passed without a stay of the enforcement or effectiveness of such order or, if a stay has been obtained, such stay has lapsed or been dissolved). The Debtor or any other party-in-interest may File an objection to such an application within the time provided by the Bankruptcy Rules or within any other period that the Court establishes. Persons holding Professional Fee Claims who do not timely File and serve an application for allowance and payment will be forever barred from asserting these Claims against the Estate, the Debtor, the Reorganized Debtor, the Plan Trust, the Plan Trustee, or their respective property.

It is estimated that the Debtor will need to pay Professional Fee Claims totaling approximately \$2,037,502 on the Effective Date, unless a particular claimant has agreed to be paid later or the Court has not yet ruled on the Professional Fee Claim. As of January 17, 2023, the

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Debtor is holding \$1,395,570.55. The Debtor expects that he will have sufficient funds to pay the Professional Fee Claims on the Effective Date (to the extent required) or upon allowance by the Court or, to the extent necessary, that the Holders of Allowed Professional Fee Claims will agree to the payment of their respective Allowed Claims upon the Plan Trust's realization of sufficient cash to pay such Claims.

C. Priority Tax Claims

Priority Tax Claims include certain unsecured income, employment and other taxes described by Bankruptcy Code Section 507(a)(8). The Bankruptcy Code requires that each Holder of such a Section 507(a)(8) Priority Tax Claim receive the present value of such Claim in regular installment payments in Cash, over a period not exceeding five years from the Petition Date, unless the Holder agrees to a different treatment. The Debtor does not believe that he has any Section 507(a)(8) Priority Tax Claims. The following chart lists all of the Debtor's Section 507(a)(8) Priority Tax Claims and their treatment under the Plan:

Priority Tax Claims		
Description	Estimated Amount Owed	Treatment
Any Priority Tax Claims	\$0.00	The Holders of allowed priority tax claims will be paid in full the allowed amount of their claims on the Effective Date or as soon as reasonably practicable thereafter, but, in no event, more than five (5) years from the entry of the order for relief. Allowed priority tax claims shall accrue interest from the Effective Date on the unpaid balance of the allowed priority tax claim at the rate required by 11 U.S.C. § 511 to provide "present value" of the allowed priority tax claim.
Total	\$0.00	

D. Classified Claims

1. Summary of Classes

Summary of Classes	
Class	Claimant(s)
1	Secured Claim of AmeriCredit Financial Services, Inc.
2	Secured Claim of Los Angeles County Treasurer and Tax Collector

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3	Secured Claim of NorthStar Demolition and Remediation, LP
4	Secured Claim of BMW Financial Services
5	Secured Claim of APSEC Resolution Trust, LLC
6	Secured Claim of Placo Investment, LLC
7	General Unsecured Claims

2. Secured Claims

Secured Claims are Claims secured by liens against property of the Estate. The following chart lists all Classes of Secured Claims and their treatment under the Plan:

Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
1	Secured Claim of AmeriCredit Financial Services, Inc. ("AFS") • Collateral: 2019 Chevrolet Colorado co-owned with Greenland Construction Services • Total Claim Amount: \$15,342.87 (according to AFS's proof of claim) • Interest Rate: 0.00% per proof of claim • Collateral Value: \$15,342.87 (according to AFS's proof of claim)	N	Y	Upon the Effective Date, AFS shall have an Allowed Secured Claim in the amount of \$15,342.87 and such Allowed Secured Claim will be paid in full by Greenland Construction Services making the monthly payments as required by the Retail Installment Sale Contract – Simple Finance Charge (With Arbitration Provision) attached to Proof of Claim No. 1. The Debtor shall not be required to pay any amount on account of AFS's Claim. Any valid, perfected, and unavoidable lien of AFS shall be retained to the same extent, validity, and priority as of the Petition Date pending payment of the AFS's Allowed Secured Claim in full as provided herein. Upon full satisfaction of AFS's Allowed Secured Claim, AFS's lien shall be released and the Reorganized Debtor shall retain title to the collateral subject to the lien free and clear of the lien. The treatment proposed herein shall be in full satisfaction of any Class 1 Secured Claim.
2	Secured Claim of Los Angeles County Treasurer and Tax Collector ("LACTTC") • Collateral: 2200 Sherwood Road, San Marino, CA 91108 • Total Claim Amount: \$5,619.61 • Collateral Value: \$621,953.00 per	N	Y	LACTTC asserts that its Claim is secured by the Sherwood Property. As discussed above, the Sherwood Property is not property of the Debtor's Estate. LACTTC's Claim in the amount of \$5,619.61 will be paid in full by the Debtor on the Effective Date from the Cash on Hand. The treatment proposed herein shall be in full satisfaction of any Class 2 Secured Claim.

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Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
	LACTTC's proof of claim			
3	Secured Claim of NorthStar Demolition and Remediation LP ("Northstar") • Collateral: 6989 Beach Blvd, Buena Park, CA 90621 per Northstar's proof of claim • Total Claim Amount: \$53,948.00 per Northstar's proof of claim • Collateral Value: \$18,853,241.00 per Northstar's proof of claim	N	Y	Northstar appears to assert a Claim based on services provided to TSH on the Hotel and secured by the real property located at 6989 Beach Blvd, Buena Park, CA 90621, which is not property of the Debtor's Estate. The Debtor intends to object to the Claim of Northstar on the basis that it is not an obligation of the Debtor and it is not a Secured Claim in this Case because it is not secured by property of the Debtor's Estate. The Debtor expects that Northstar's claim will be disallowed in its entirety. Any Allowed Secured Claim of Northstar will be paid in full as required by 11 U.S.C. § 1129(b) in equal quarterly installments by the Debtor or a non-debtor company over a period of ten (10) years after the Effective Date, plus interest at a market rate determined by the Court to provide present value of any such Allowed Secured Claim until such Allowed Secured Claim is paid in full. Any valid, perfected, and unavoidable lien of Northstar shall be retained to the same extent, validity, and priority as of the Petition Date pending payment of any Allowed Secured Claim of Northstar in full as provided herein. Upon full satisfaction of any Allowed Secured Claim of Northstar, Northstar's lien shall be released and the Reorganized Debtor shall retain title to the collateral subject to the lien free and clear of the lien The treatment proposed herein shall be in full satisfaction of any Class 3 Secured Claim. Any Allowed General Unsecured Claim held by Northstar will receive the treatment set forth in Class 7 below.
4	Secured Claim of BMW Financial Services ("BMW") • Collateral: 2019 BMW X1 owned by spouse • Total Claim Amount: \$20,000.00 • Collateral Value: \$20,335.47	N	N	BMW will continue to receive monthly payments of \$500.06, and its Allowed Claim will be paid in full in September 2024, in accordance with the agreements giving rise to such Claim. The treatment proposed herein shall be in full satisfaction of BMW's Class 4 Secured Claim.

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Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
5	Secured Claim of APSEC Resolution Trust, LLC - Collateral: 22003 Pacific Coast Highway and 3849 Carbon Canyon Road, Malibu, California 90265 (<i>i.e.</i>, the "Malibu Properties") - Total Claim Amount: \$3,140,719.29 as of January 9, 2023 per APSEC - Collateral Value: \$8,500,000 - \$9,000,000 collectively	N	Y	APSEC holds an Allowed Secured Claim in the amount of \$3,140,719.29 as of January 9, 2023. APSEC's Allowed Secured Claim will be paid in full as required by 11 U.S.C. § 1129(b) by the APSEC Payment Deadline as provided in this Class 5 and in Section III.B. below. The "APSEC Allowed Secured Claim" means APSEC's Claim secured by the Malibu Properties in the amount of \$3,140,719.29, plus any additional interest or reasonable attorney's fees and costs to which APSEC is entitled under 11 U.S.C. § 506(b), less any Other Distributions received by APSEC prior to, on, or after the Effective Date. <u>Monthly Payment.</u> Beginning on the 20th of the first full month after the Effective Date and on the 20th of each month thereafter until the earlier of (i) the payment of the APSEC Allowed Secured Claim in full or (ii) the APSEC Payment Deadline, M+D shall pay to APSEC the collective sum of \$18,000 (each, a "Monthly Payment"). APSEC shall apply the Monthly Payments to the APSEC Allowed Secured Claim as provided in the APSEC Loan Documents. <u>Interest Rate.</u> Upon and after the Effective Date, the unpaid balance of the APSEC Allowed Secured Claim will continue to accrue simple interest at the non-default rate set forth in the APSEC Note. <u>Payment Deadline.</u> The APSEC Allowed Secured Claim shall be paid in full by no later than the first Business Day that is six (6) months after the Effective Date (the "<u>APSEC Payment Deadline</u>"). The APSEC Allowed Secured Claim will be paid in full directly from escrow upon the closing of a sale or refinancing of either or both of the Malibu Properties. If the APSEC Allowed Secured is not paid in full by the APSEC Payment Deadline, then it shall be permitted to proceed with its remedies with respect to the Debtor Malibu Property, including to foreclose on the Debtor Malibu Property. <u>APSEC's Lien.</u> APSEC's liens against the Malibu Properties to secure the APSEC Allowed Secured Claim shall be retained to the same extent, validity, and priority as of the Petition Date pending payment of the APSEC Allowed Secured Claim in full as provided herein. Upon full satisfaction of the APSEC Allowed Secured Claim, APSEC's liens shall be released and title to the Malibu Properties shall be retained by the

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Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
				Reorganized Debtor and M+D free and clear of the liens. <u>Taxes and Insurance.</u> The Reorganized Debtor and M+D shall continue to pay property taxes on the Malibu Properties on a timely basis while such properties continue to be owned by the Reorganized Debtor and M+D and they shall provide evidence of adequate insurance, with APSEC named as secured party loss payee pursuant to the express terms of the APSEC Deed of Trust. <u>Inspection Rights.</u> APSEC shall have the right to inspect the Malibu Properties (and if it so elects, to obtain its own appraisal) with one (1) business day's written notice by email to counsel for the Reorganized Debtor. The Reorganized Debtor does not need to be physically present for any such inspection or appraisal. <u>Offers to Purchase.</u> Pending the APSEC Payment Deadline, the Reorganized Debtor and M+D shall share all written offers for any of the Malibu Properties within three (3) business days of receipt; <u>provided, however</u>, that such offers shall be kept confidential by APSEC and, without the prior written and express approval of the Debtor, neither APSEC nor anyone acting for APSEC or on its behalf shall contact any person or entity who submits a written offer to purchase any of the Properties to the Debtor and/or M+D. <u>Broker Contact.</u> APSEC shall have the right to contact Coldwell Banker, the Reorganized Debtor's current real estate broker, or any other broker employed to sell the Malibu Properties on three business (3) days' written notice by email to counsel for the Reorganized Debtor, solely for the purpose of hearing an update on the status of the marketing and sale of the Properties. The Reorganized Debtor and/or his counsel may participate in any such update. Any discussions between APSEC and Coldwell Banker or any other broker shall be considered inadmissible and confidential settlement communications. The treatment proposed herein shall be in full satisfaction of any Class 5 Secured Claim.
6	Secured Claim of Placo Investment, LLC	Y	Y	As a material part of the compromise set forth in the Plan and conditioned upon confirmation of the Plan, upon the Effective Date, (a) Placo Investment shall have any Allowed Secured Claim

Secured Claims				
Class #	Description	Insiders (Y/N)	Impaired (Y/N)	Treatment
	- Collateral: 22003 Pacific Coast Highway, Malibu, CA 90265 (i.e., the "Debtor Malibu Property") - Total Claim Amount: \$4,000,000.00, plus interest pursuant to Placo Investment's deed of trust - Collateral Value: \$8,500,000 - \$9,000,000 collectively			in the amount of \$4,000,000, plus interest as provided in Placo Investment's deed of trust, and (b) pursuant to 11 U.S.C. § 510(c), such Allowed Secured Claim shall be subordinated to all Allowed General Unsecured Claims, and the lien securing such Allowed Secured Claim (the "<u>Placo Malibu Lien</u>") will be preserved and transferred to the Plan Trust. Placo Investment's Allowed Secured Claim shall be paid in full directly from escrow from the proceeds of the sale of the Debtor Malibu Property and such payment will be made directly to the Plan Trust. The treatment proposed herein shall be in full satisfaction of Placo's Allowed Secured Class 6 Secured Claim.

3. Classes of Priority Unsecured Claims

Certain Claims that are referred to in Bankruptcy Code Sections 507(a)(4), (5), (6), and (7) are entitled to priority treatment and are required to be placed in Classes. The Bankruptcy Code requires that each Holder of such Priority Claims receive Cash on the Effective Date equal to the allowed amount of such Claim. However, a Class of unsecured Priority Claim Holders may vote to accept deferred Cash payments of a value, as of the Effective Date, equal to the allowed amount of such Claim. The Debtor is an individual and there are no Claims that meet the requirements of Bankruptcy Code §§ 507(a)(4), (5), (6), or (7). As such, the Plan does not contain any Classes for such Priority Claims.

4. Class of Unsecured Claims

General Unsecured Claims are unsecured Claims that are not entitled to priority under 11 U.S.C. § 507(a). Below is a summary of the Plan's treatment of the Classes containing the Debtor's General Unsecured Claims.

General Unsecured Claims			
Class #	Description	Impaired (Y/N)	Treatment
7	General Unsecured Claims Estimated amount of claims: \$267,625,758.94	Y	This Class consists of the General Unsecured Claims. The Holders of Allowed General Unsecured Claims in this Class will receive in full satisfaction, settlement, release, and discharge of

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General Unsecured Claims			
Class #	Description	Impaired (Y/N)	Treatment
	(see Exhibit 3 attached hereto for list of Holders of General Unsecured Claims)		their Allowed General Unsecured Claims a beneficial interest in the Plan Trust (each, a "<u>Trust Interest</u>") on a <i>pro rata</i> basis based on the Holders' respective Allowed GUC Distribution Amount as provided in Section III.D.1. herein. On each Distribution Date, the Holders of Allowed General Unsecured Claims will receive from the Plan Trustee distributions of any Distributable Proceeds <i>pro rata</i> based on their respective Allowed GUC Distribution Amounts in accordance with the Distribution Waterfalls specified in Section III.D.6. The Debtor estimates that the Holders of Allowed General Unsecured Claims will receive a <i>pro rata</i> share of approximately \$2,678,174. (See Ex. 1.) The treatment proposed herein shall be in full settlement and satisfaction of the General Unsecured Claims.

5. Class of Interest Holders

Interest Holders are the parties who hold membership interests (i.e., equity interests) in the Debtor. The Debtor is an individual and has no interest holders.

III. MEANS OF IMPLEMENTATION

This section is intended to explain how the Debtor intends to effectuate payments contemplated by the Plan, and how the Debtor intends to fund the obligations to Holders of Allowed Claims as provided in the Plan. This section provides information regarding the funding sources for Plan obligations, the establishment of the Plan Trust, and other material issues bearing upon performance of the Plan. The Plan will be effectuated through the sale of the Direct-Owned Real Estate and the vesting of the Trust Assets in the Plan Trust to be managed and administered by the Plan Trustee.

A. The Funding of the Plan

The Distributions required by the Plan will be made by the Debtor, the Plan Trustee, or from a non-estate source (e.g., a company of the Debtor). Upon the Effective Date, the Debtor

1 shall pay the Allowed Claim of the LACTTC from the non-exempt Cash on Hand prior to wiring
2 such funds to the Plan Trust. APSEC's Allowed Secured Claim will be paid in full from the sale
3 of the Malibu Properties. Any Monthly or quarterly debt service payments required by the Plan to
4 the Holders of Allowed Secured Claims will be made by the Debtor or a non-debtor company of
5 the Debtor as specified in the Plan, and not by the Plan Trust. Any Allowed Administrative
6 Claims or Allowed Priority Claims, to the extent not paid on the Effective Date, will be
7 obligations of the Plan Trust and will be paid by the Plan Trustee in accordance with the
8 Distribution Waterfalls set forth in Section III.D.6.

9 All post-Effective Date payments to the Holders of Allowed Administrative Claims or
10 Allowed Priority Claims and all Distributions to the Holders of Allowed General Unsecured
11 Claims under the Plan will be made by the Plan Trustee. Such Distributions will be funded from
12 the following sources: (1) Net Cash On Hand; (2) any Net Sale Proceeds; (3) the Settlement
13 Consideration; and (4) any proceeds on account of the New Direct-Owned Company Preferred
14 Equity Interests. The Plan Trustee will distribute the proceeds from the Trust Assets to the
15 Holders of Allowed Claims in accordance with the treatment in the Plan and the Distribution
16 Waterfalls.

17 **B. The Sale of Real Properties**

18 Upon the Effective Date, the Reorganized Debtor will be authorized and directed to sell, or
19 cause the sale of, the Malibu Properties (if and to the extent not sold prior to the Effective Date).
20 The Reorganized Debtor shall consult with the Plan Trustee prior to accepting any offer to sell the
21 Malibu Properties. Any sale of the Malibu Properties by the Reorganized Debtor after the
22 Effective Date shall not require Court approval; provided, however, the Reorganized Debtor may
23 file a motion for a Court order authorizing the sale of such real property pursuant to 11 U.S.C.
24 363, including free and clear of liens pursuant to § 363(f). The Reorganized Debtor may employ
25 one or more real estate brokers to sell the Malibu Properties without further notice, motion or
26 application, hearing, or Court order. The Reorganized Debtor will be required to sell, or cause the
27 sale of, the Malibu Properties as necessary in order to pay APSEC's Allowed Secured Claim by
28 the APSEC Payment Deadline.

APSEC's Allowed Secured Claim will be paid in full upon the close of escrow of the sale of the Malibu Properties or, if sold separately, upon the first such closing to occur. Any payment on account of the Placo Malibu Lien shall be made directly from escrow to the Plan Trust and such shall be considered Net Sale Proceeds and will be distributed in accordance with the Distribution Waterfalls in Section III.D.6. If the sale of the Malibu Properties closes after the Effective Date, then the Net Sale Proceeds attributable to the Malibu Properties will be paid directly from escrow to the Plan Trust.

C. The Settlement and Release of Alleged Estate Claims Against Insiders

The Plan represents a proposed settlement between the Debtor and his creditors. In exchange for the consideration, value, and benefits provided under the Plan, including without limitation, the voluntary subordination of Placo Investment's Allowed Secured Claim, the transfer of the Placo Malibu Lien to the Plan Trust, and the Plan Trust's right to any Net Sale Proceeds from the M+D Malibu Property (collectively, the "Settlement Consideration"), the Debtor is receiving the benefits of the Plan, and upon the Effective Date, or if the sale of the Malibu Properties closes after the Effective Date, then upon the Plan Trust's receipt of the Net Sale Proceeds from the Malibu Properties, Eun Hee Chae, Leslie Chae, Estelle Chae, or any other relative of the Debtor, including, without limitation, in-laws (collectively, the "Released Parties"), shall be deemed released and discharged, by the Debtor and the Estate, in each case, on behalf of themselves and their respective successors, assigns, and representatives, and any and all persons that may purport to assert any cause of action derivatively, by, through or on behalf of the Debtor or the Estate, from any and all claims, obligations, suits, judgments, damages, demands, debts, rights, causes of action, remedies, losses, and liabilities whatsoever, whether liquidated or unliquidated, fixed or contingent, matured or unmatured, known or unknown, existing or hereinafter arising, in law, equity, or otherwise, including, without limitation, pursuant to 11 U.S.C. §§ 544, 547, 548, 549, and/or 550 of the Bankruptcy Code and analogous non-bankruptcy law, based on, relating to, or in any manner arising from, in whole or in part, the Debtor, the Case, the Estate, the Sherwood Property, any alleged transfer of the Sherwood Property, any transfers listed in the Debtor's Schedules and Statement of Financial Affairs, as amended, and any other

1 transfers received by the Released Parties or any of them to the extent such transfers are disclosed
2 in the Schedules, the First Amended Disclosure Statement Describing the First Amended Plan of
3 Donald Chae (the "Disclosure Statement"), or the schedule attached to hereto as Exhibit "4"
4 (collectively, the "Released Claims"). The Confirmation Order shall operate has a bar and
5 injunction against the commencement or pursuit of the Released Claims by any party against any
6 Released Parties.

7 The Plan constitutes a good faith settlement and compromise, including of the Released
8 Claims, in exchange for the Settlement Consideration.

9 Importantly, the Settlement Consideration by far exceeds any potential recovery on the
10 Released Claims, without considering the risk and cost of litigation. As detailed in Liquidation
11 Analysis attached hereto as Exhibit "2," assuming that the Sherwood Property was an asset of the
12 Estate, the estimated equity the Sherwood Property based on its liquidation value and after costs of
13 sale, capital gains taxes, and the Debtor's \$600,000 homestead exemption is approximately
14 \$567,825. The transfers to Estelle and Leslie over three years ago total \$880,025. Thus, these
15 alleged transfers collectively total at best \$1,447,850 (approximately .005% of the asserted
16 General Unsecured Claims) *without* factoring in any costs of litigation and assuming any litigation
17 is successful. Moreover, the Liquidation Analysis and Financial Statement indicate that the value
18 obtainable for the Holder of Allowed General Unsecured Claims from the forced liquidation of all
19 the Debtor's assets is zero.

20 In contrast, the Settlement Consideration is estimated to have a value of approximately
21 \$5,600,000 to the Plan Trust through the Placo Malibu Lien and the M+D Malibu Property,
22 neither of which are assets of the Estate. More specifically, the estimated going concern values of
23 the Debtor Malibu Property and the M+D Malibu Property are \$7,250,000 and \$1,500,000,
24 respectively, or \$8,750,000 combined.² (See Exs. 1 and 2.) After payment of APSEC's Allowed
25 Secured Claim, the value remaining totals \$5,609,280.71 ($\$7,250,000 + \$1,500,000 = \$8,750,000$;
26 $\$8,750,000 - \$3,140,719.29 = \$5,609,280.71$). Absent the Plan and the Debtor's settlement offer
27

28 ² This combined value is the midpoint of the range of \$8,500,000 to \$9,000,000 provided by the broker.

1 contained therein, this net value would be payable to non-debtor parties, *i.e.*, Placo Investments
2 and M+D Properties, and used for their respective operations and debts. Based on the significant
3 value to be paid under the Plan, the settlement embodied in the Plan is fair and equitable.

4 Because the claims asserted in the Post-Petition Shady Bird Sherwood Action are being
5 settled and released under the Plan (in addition to such action being filed in violation of the
6 automatic stay and, as such, void), upon the Effective Date, the Post-Petition Shady Bird
7 Sherwood Action, case number 21STCV37075, shall be dismissed with prejudice and the
8 Sherwood Lis Pendens shall be released and expunged. Upon and after the Effective Date, the
9 Debtor shall be empowered to take such action, file such pleadings, and record such instruments as
10 needed to cause the dismissal with prejudice of the Post-Petition Shady Bird Sherwood Action and
11 to expunge and release the Sherwood Lis Pendens.

12 **D. The Plan Trust**

13 **1. Establishment of the Plan Trust**

14 The Plan Trust shall be established and shall become effective on the Effective Date. The
15 Plan Trust is created pursuant to the Plan and the Confirmation Order, and no separate trust
16 instrument shall be required. The sole purpose of the Plan Trust will be to hold, preserve, and
17 administer the Trust Assets and to make the Distributions required of it by the Plan. Each creditor
18 holding an Allowed General Unsecured Claim will receive in satisfaction, settlement, release, and
19 discharge of such Claim a Trust Interest on a *pro rata* basis based on such creditor's Allowed GUC
20 Distribution Amount. Holders of Allowed General Unsecured Claims will receive Plan
21 Distributions until their respective Allowed GUC Distribution Amounts are paid in full, the Trust
22 Assets are exhausted or abandoned, or the term of Plan Trust expires.

23 **2. The Trust Assets**

24 The Plan Trust will be funded with the Trust Assets. The Trust Assets are comprised of
25 the following:

- 26 1. New Direct-Owed Company Preferred Equity Interests (subject to Section III.J.
27 below);
28 2. Any Net Sale Proceeds;

3. The Placo Malibu Lien;
4. The Net Cash on Hand; and
5. Any Avoidance Actions that are not Released Claims.

On the Effective Date, all Trust Assets (or the rights thereto) shall be deemed automatically transferred to and vested in the Plan Trust free and clear of all Claims, liens, encumbrances, or other interests (unless otherwise stated expressly in the Plan). Proceeds from the Trust Assets, when realized, will be distributed by the Plan Trustee on Distribution Dates in accordance with the Plan and the Distribution Waterfalls.

3. The Term of the Plan Trust

The initial term of the Plan Trust shall have an initial term of five (5) years (the "Initial Term"); provided, however, that the term of the Plan Trust may be automatically extended for an additional five-year term by the Plan Trustee upon the filing of a notice by the Plan Trustee prior to the expiration of the Initial Term and the Plan Trustee will service such notice on the Reorganized Debtor's counsel. Thereafter, the term of the Plan Trust may be extended for a further finite term upon a finding of "cause" by the Court. The Plan Trustee may seek such an extension of the Plan Trust's term by motion filed by the expiration of the term to be extended. The Reorganized Debtor shall have the right to oppose any such motion. The Plan Trust may be terminated earlier than its scheduled termination if the Plan Trustee has completed all payments required under the Plan, has paid any taxes, fees and penalties associated with the Plan Trustee's administration of the Trust Assets, has administered all assets of the Plan Trust (or intends to abandon assets no administered), and has performed all other duties required by the Plan. Upon the termination of the Plan Trust, the Plan Trustee shall be discharged and exonerated and any assets remaining in the Plan Trust shall revest in the Reorganized Debtor.

4. The Plan Trustee

(a) Appointment

The appointment of the Plan Trustee shall be effective as of the Effective Date. Bradley Sharp of Development Specialists, Inc., shall be the initial Plan Trustee. The Plan Trustee may resign upon sixty (60) days' advance written notice to the Reorganized Debtor so long as a

1 replacement trustee has been appointed. The Plan Trustee may be removed by order of the Court
2 for "cause."

3 The Plan Trustee shall act as a fiduciary and shall not be personally liable in connection
4 with the affairs of the Plan Trust or to any person except for such of the Plan Trustee's acts or
5 omissions that constitute fraud, willful misconduct, or gross negligence, as determined by a court
6 of competent jurisdiction. In addition, the Plan Trustee shall be indemnified by the Plan Trust
7 against and held harmless by the Plan Trust from any losses, claims, damages, liabilities, or
8 expenses (including without limitation, attorneys' fees, disbursements, and related expenses) to
9 which the Plan Trustee may become subject in connection with any action, suit proceeding, or
10 investigation brought or threatened against the Plan Trustee in connection with any matter arising
11 out of or related to the Plan Trust (other than in respect of acts or omissions that constitute fraud,
12 will misconduct, or gross negligence, as determined by a court of competent jurisdiction). The
13 Plan Trustee shall be entitled to obtain customary fiduciary and/or errors and omissions liability
14 insurance at the expense of the Plan Trust and engage independent legal counsel and financial
15 advisors to assist with its evaluation of any matters with respect to the Plan Trust as provided in
16 Section III.4.c. below and at the expense of the Plan Trust.

17 **(b) Term of the Plan Trustee**

18 Unless the Plan Trustee resigns, dies or is removed by Court order earlier, the Plan
19 Trustee's term shall expire upon termination of the Plan Trust pursuant to the Plan. In the event
20 the Plan Trustee resigns, dies or is removed by Court order prior to termination of the Plan Trust,
21 the Reorganized Debtor shall appoint a successor trustee. Upon the termination of the Plan Trust,
22 the Plan Trustee may destroy or otherwise dispose of the books and records of the Plan Trust.

23 **(c) The Plan Trustee's Powers and Duties**

24 On the Effective Date, the Plan Trustee shall have the rights, powers and duties set forth in
25 the Plan and the Confirmation Order. The Plan Trustee shall be governed in all things by the
26 terms of the Plan and the Confirmation Order and the Plan Trustee shall administer the Plan Trust
27 in accordance with the Plan. The Plan Trustee shall be authorized, empowered and directed to
28

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- 1 take all actions necessary to comply with the Plan and exercise and fulfill the duties and
2 obligations arising thereunder, including, without limitation to:
- 3 a. Employ, retain, and replace one or more attorneys, accountants, auctioneers,
4 brokers, managers, consultants, other professionals, agents, investigators, expert
5 witnesses, consultants, and advisors as necessary to discharge the duties of the Plan
6 Trustee under the Plan and to pay such professionals their reasonable and necessary
7 fees and costs from the Trust Assets;
 - 8 b. Open, maintain and administer bank accounts for Cash of the Plan Trust as
9 necessary to discharge the duties of the Plan Trustee under the Plan;
 - 10 c. Make Distributions to the Holders of Allowed Claims in accordance with the Plan;
 - 11 d. Administer or otherwise dispose of the Trust Assets held by the Plan Trust in
12 accordance with the terms of the Plan;
 - 13 e. Incur and pay from the Trust Assets reasonable and necessary expenses in
14 connection with the performance of the Plan Trustee's duties under the Plan;
 - 15 f. Represent the Plan Trust before the Court and other courts of competent
16 jurisdiction with respect to matters concerning the Plan Trust;
 - 17 g. Comply with applicable orders of the Court and any other court of competent
18 jurisdiction over the matters set forth in the Plan;
 - 19 h. Comply with all applicable laws and regulations concerning the matters set forth in
20 the Plan;
 - 21 i. Exercise such other powers as may be vested in the Plan Trust pursuant to the Plan,
22 the Confirmation Order, or other Final Orders of the Court;
 - 23 j. Execute any documents, instruments, contracts, and agreements necessary and
24 appropriate to carry out the powers and duties of the Plan Trust;
 - 25 k. Seek a determination of tax liability under § 505 of the Code, pay taxes, if any,
26 related to the Plan Trust, and file, if necessary, any and all tax and information
27 returns required with the respect to the Plan Trust, including, if appropriate, treating
28 the Plan Trust as a "grantor trust" pursuant to Treas. Reg. 1.671-4 or otherwise,

1 make tax elections by and on behalf of the Plan Trust, and pay taxes, if any,
2 payable by the Plan Trust;

- 3 1. To administer any Avoidance Action (excluding the Released Claims), including to
4 enforce, file, litigate, prosecute, settle and collect such Avoidance Actions; and
5 m. Cause to be prepared and to file federal, state, and local tax returns related to the
6 Plan Trust as necessary.

7 **5. Trust Distributions**

8 The Plan Trustee will make the Distributions to the Holders of Allowed Claims in
9 accordance with the terms of the Plan. On a business day selected by the Plan Trustee within
10 forty-five (45) days after the calendar quarter in which Distributable Proceeds are received by the
11 Plan Trust (a "Distribution Date"), the Plan Trustee shall distribute such Distributable Proceeds in
12 accordance with the Distribution Waterfalls set forth in Section III.D.6. below. The Plan Trustee
13 shall not be required to make more than one Distribution per calendar quarter. The Plan Trustee
14 may delay or defer the Distribution of any Distributable Proceeds received by the Plan Trustee if
15 the Plan Trustee determines that such deferral or delay is in the best interests of the Holders of
16 Trust Interests. All Distributions to the Holders of Allowed General Unsecured Claims shall be
17 from the Plan Trust. Persons dealing with the Plan Trustee, or seeking to assert Claims against the
18 Debtor, the Reorganized Debtor, the Estate, or the Plan Trust, shall look only to property of the
19 Plan Trust to satisfy any liability to such Persons, and the Plan Trustee shall have no personal or
20 individual obligation to satisfy any such liability.

21 **6. The Distribution Waterfalls**

22 **(a) Distributable Proceeds Excluding Distributions on Account of**
23 **New Direct-Owed Company Preferred Equity Interests**

24 Any Net Cash on Hand, Net Sale Proceeds, and/or proceeds on account of the Placo
25 Malibu Lien received by the Plan Trust shall be distributed by the Plan Trustee on a Distribution
26 Date in the following order of priority:

- 27 1. To the Holders of Allowed Administrative Expense Claims on a *pro rata* basis until
28 such claims are paid in full;

2. To the Holders of Allowed Priority Claims (in the order set forth in the Bankruptcy Code) on a *pro rata* basis until such claims are paid in full such Trust Assets have been exhausted;
3. To pay or reserve for the reasonable fees and costs of the Plan Trustee and the Plan Trustee's professionals and all fees payable under section 1930 of chapter 123 of title 28 of the United States Code; and
4. To holders of Allowed GUC Distribution Amounts (subject to any reserves for Disputed Claims) until such Holders have received aggregate Distributions equal to the full amount of such Holders' Allowed GUC Distribution Amounts or such Trust Assets have been exhausted.

(b) Distributions on Account of the New Direct-Owed Company Preferred Equity Interests

Any Distributable Proceeds (excluding Cash on Hand, Net Sale Proceeds, and proceeds on account of the Placo Malibu Lien) received by the Plan Trust shall be distributed by the Plan Trustee on a Distribution Date in the following order of priority:

1. To the Holders of Allowed Administrative Expense Claims on a *pro rata* basis until such claims are paid in full;
2. To the Holders of Allowed Priority Claims (in the order set forth in the Bankruptcy Code) on a *pro rata* basis until such claims are paid in full or such Trust Assets have been exhausted;
3. To pay or reserve for the reasonable fees and costs of the Plan Trustee and the Plan Trustee's professionals and all fees payable under section 1930 of chapter 123 of title 28 of the United States Code;
4. Allocated 100% to holders of Allowed GUC Distribution Amounts (subject to any reserves for Disputed Claims) until the Holders of Allowed GUC Distribution Amounts have received aggregate Trust Distributions equal to 25% of the Allowed Debt Claim Distribution Amounts or such Trust Assets have been exhausted;

- 1 5. Allocated (a) 95% to holders of Allowed GUC Distribution Amounts (subject to
- 2 any reserves for Disputed Claims), and (b) 5% to the Reorganized Debtor until the
- 3 Holders of the Allowed GUC Distribution Amounts have received aggregate Trust
- 4 Distributions pursuant to this clause equal to 35% of the Allowed Debt Claim
- 5 Distribution Amounts or such Trust Assets have been exhausted;
- 6 6. Allocated (a) 80% to holders of Allowed GUC Distribution Amounts (subject to
- 7 any reserves for Disputed Claims), and (b) 20% to the Reorganized Debtor until the
- 8 Holders of the Allowed GUC Distribution Amounts have received aggregate Trust
- 9 Distributions pursuant to this clause equal to 50% of the Allowed Debt Claim
- 10 Distribution Amounts or such Trust Assets have been exhausted; and
- 11 7. Allocated (a) 50% to holders of Allowed GUC Distribution Amounts (subject to
- 12 any reserves for Disputed Claims), and (b) 50% to the Reorganized Debtor until the
- 13 Holders of the Allowed GUC Distribution Amounts have received aggregate Trust
- 14 Distributions pursuant to this clause equal to the full amount of such Holders'
- 15 Allowed GUC Distribution Amounts or such Trust Assets have been exhausted.

16 The priority of distribution of Distributable Proceeds set forth in these Sections III.D.6.a.
17 and III.D.6.b. shall be referred to collectively herein as the "Distribution Waterfalls."

18 Nothing in the Plan prevents the right of the Reorganized Debtor, in his sole discretion, to
19 reach an agreement with any Holder of Trust Interests to eliminate, settle, or release or acquire
20 such Trust Interests.

21 **7. Federal Income and Taxation of the Plan Trust**

22 For federal income tax purposes, the Plan Trust is a "liquidating trust" within the meaning
23 of Treasury Income Tax Regulation Section 301.7701-4(d) and IRS Revenue Procedure 94-45,
24 1994-2 C.B. 124. The transfer of assets to the Plan Trust under the Plan is treated as a deemed
25 transfer to the persons entitled to receive Distributions from the Plan Trust followed by a deemed
26 transfer of assets by such persons to the Plan Trust. The persons entitled to receive Distributions
27 under the Plan will be deemed the grantors and owners of the Plan Trust and its assets. The Plan
28 Trust will be taxed as a "grantor trust" within the meaning of IRC Sections 671-677 (a non-taxable

1 pass-through tax entity) owned by the persons entitled to receive Distributions under the Plan.
2 The Plan Trust will file federal income tax returns as a grantor trust under IRC Section 671 and
3 Treasury Income Tax Regulation Section 1.671-4 and report, but not pay tax on, the Plan Trust's
4 tax items of income, gain, loss deductions, and credits ("Tax Items"). The persons entitled to
5 receive Distributions under the Plan will report such Tax Items on their federal income tax returns
6 and pay any resulting federal income tax liability. The Plan Trust and the persons entitled to
7 receive Distributions under the Plan will use consistent valuations of the assets transferred to the
8 Plan Trust for all federal income tax purposes, such valuations to be determined by the Plan
9 Trustee. The taxation of the Plan Trust does not alter the Reorganized Debtor's obligations to file
10 appropriate tax returns and pay taxes.

11 **8. Beneficiaries of the Plan Trust**

12 The Holders of Allowed Unsecured Claims under the Plan, or any successors to such
13 Holders' Allowed Unsecured Claims ("Beneficiary" or "Beneficiaries") shall own a beneficial
14 interest in the Plan Trust as otherwise set forth in the Plan and shall, subject to the Plan, be entitled
15 to a Distribution, if any, in the amounts, and at the times, set forth in the Plan. Ownership of a
16 beneficial interest in the Plan Trust shall not be evidenced by any certificate, security, or receipt or
17 in any other form or manner whatsoever, except as maintained on the books and records of the
18 Plan Trust by the Plan Trustee. The ownership of a beneficial interest in the Plan Trust shall not
19 entitle any Beneficiary to any title in or to the Trust Assets or to any right to call for a partition or
20 division of the Trust Assets or to require an accounting. The Plan Trustee shall make
21 Distributions, if any, to the Beneficiaries in the manner provided in the Plan. The rights of the
22 Beneficiaries arising under the Plan Trust may be deemed "securities" under applicable law.
23 However, such rights have not been defined as "securities" under the Plan because (a) the intent of
24 the Plan is that such rights shall not be securities, and (b) if the rights arising under the Plan Trust
25 are deemed to be "securities," the exemption from registration under § 1145 of the Bankruptcy
26 Code is intended to be applicable to such securities.

E. Reporting to the Plan Trust

The Reorganized Debtor shall cause to be prepared and distributed to the Plan Trustee, on each anniversary of the Effective Date and until the Plan Trust is terminated, a balance sheet, income statement, and cash flow statement for the Direct-Owned Companies and each Subject Company. The Debtor shall also respond to reasonable requests for information regarding the finances of the Direct-Owned Companies or of a Subject Company from the Plan Trustee.

F. Retention of Professionals and Fees and Expenses

On or after the Effective Date, the Plan Trustee and the Reorganized Debtor may, without further application or Motion, notice, hearing, or Court order, engage or employ such professionals and experts as they deem necessary and appropriate to assist in carrying out their respective rights or duties under the Plan. Such professionals and experts may be employed on any reasonable terms and conditions of employment to be determined by the Plan Trustee or the Reorganized Debtor, as the case may be. For the services performed on and after the Effective Date, the professionals engaged by the Plan Trustee (the "Plan Trustee Professionals") or by the Reorganized Debtor (the "Post-Confirmation Chae Professionals") shall receive reasonable compensation and reimbursement of expenses in a manner to be determined by the Plan Trustee or the Reorganized Debtor, respectively.

The Plan Trustee, the Plan Trustee Professionals, and the Post-Confirmation Chae Professionals shall be entitled to reasonable compensation for their services and reimbursement for expenses. The Plan Trustee shall be paid on an hourly basis at the Plan Trustee's customary hourly rate. The Plan Trustee shall be authorized, without further order, notice, or application to the Court, to pay his or her reasonable fees and actual expenses and the reasonable fees and actual expenses of any Plan Trustee Professionals and such all reasonable fees and actual expenses shall be paid solely from the Trust Assets. The Plan Trustee shall be authorized to reserve funds from the Trust Assets as is reasonable to pay the expenses and fees of the Plan Trustee and the Plan Trustee Professionals before making any Distributions under the Plan to the Holders of Allowed General Unsecured Claims. The sole source of payment for the Plan Trustee and the Plan Trustee Professionals shall be the assets of the Plan Trust. The Reorganized Debtor shall pay, without

1 further order, notice, or application to the Court, the reasonable fees and actual expenses of any
2 Post-Confirmation Chae Professionals.

3 **G. The Plan Trustee as Disbursing Agent**

4 The Plan Trustee shall serve as the disbursing agent under the Plan and, as set forth above
5 in Section III.A. and III.D.5. through III.D.6., shall be responsible for paying any Allowed
6 Administrative Claims or Allowed Priority Claims not paid on the Effective Date and making all
7 Distributions to the Holders of Allowed Unsecured Claims required under the Plan.

8 **H. Bond**

9 The Plan Trustee shall not be required to post a bond or surety or other security for the
10 performance of his or her duties under the Plan. The Reorganized Debtor shall not be required to
11 post a bond or surety or other security for the performance of his duties under the Plan.

12 **I. Release of Liens**

13 Except as otherwise expressly provided in the Plan for the Holders of Allowed Claims in
14 Classes 1, 2, 3, 4, 5, and 6, or the Confirmation Order, or in any document, instrument or other
15 agreement created in connection with the Plan, on the Effective Date, all mortgages, deeds of trust,
16 liens, or other security interests in or against property of the Estate shall be released. The Plan
17 Trustee and the Reorganized Debtor shall be empowered to file such pleadings and/or record such
18 documents or instruments as necessary to eliminate, expunge or release such liens from their
19 respective assets.

20 **J. Post-Confirmation Ownership and Management of Subsidiaries**

21 **1. Ownership**

22 Upon the Effective Date, all equity in the Direct-Owned Companies shall be cancelled and
23 extinguished. The Plan Trust will be issued the New Direct-Owned Company Preferred Equity
24 Interests and the Reorganized Debtor will receive and be issued 100% of the common ownership
25 in the Direct-Owned Companies. The Reorganized Debtor, the Direct-Owned Companies, and the
26 Plan Trustee shall prepare amended and restated operating agreements for each of the Direct-
27 Owned Companies to, among other things, admit the Debtor as the new common owner and the
28

1 Plan Trust as a new preferred member, and such agreements shall have the following material
2 terms:

- 3 1. The Plan Trust will be admitted as the sole Preferred Equity Member;
- 4 2. The Plan Trust's New Direct-Owned Company Preferred Equity Interests shall be
5 redeemed upon the earlier of the payment of the Allowed GUC Distribution
6 Amounts in full or the termination of the Plan Trust;
- 7 3. The Reorganized Debtor will be admitted as the sole Common Equity Member;
- 8 4. The Reorganized Debtor shall not receive any distribution on account of being a
9 Common Equity Member until and unless the Plan Trust's New Direct-Owned
10 Company Preferred Equity Interests are redeemed; provided, however, that such
11 restriction shall not apply to (i) amounts that the Reorganized Debtor is entitled to
12 receive from the Plan Trust under the Distribution Waterfalls as set forth in Section
13 III.D.6. or (ii) ordinary course compensation from any company of the Debtor for
14 services performed by the Reorganized Debtor;
- 15 5. On each Annual Distribution Date, the Reorganized Debtor shall distribute, or
16 cause to be distributed, to the Plan Trust any Excess Free Cash Flow or Excess
17 Capital Transaction Cash;
- 18 6. The Reorganized Debtor shall consult with the Plan Trustee regarding the
19 calculation of Excess Free Cash Flow or Excess Capital Transaction Cash in
20 accordance with the Plan;
- 21 7. The Reorganized Debtor shall not be required to make, or cause the Direct-Owned
22 Companies, to make any distribution of Excess Free Cash Flow or Excess Capital
23 Transaction Cash if and to the extent that such distribution would violate applicable
24 law or any term or covenant in any loan document of any Direct-Owned Company
25 or any Subject Company;
- 26 8. The Plan Trustee shall not be permitted to transfer, sell, assign, or encumber the
27 New Direct-Owned Company Preferred Equity Interests pending redemption of the
28 New Direct-Owned Company Preferred Equity Interests;

1 9. The Debtor shall not be permitted to transfer, sell, assign, or encumber his new
2 common interests in the Direct-Owned Companies without the prior written
3 consent of the Plan Trustee pending redemption of the New Direct-Owned
4 Company Preferred Equity Interests; and

5 10. No member shall be required to make any capital contributions.

6 The issuance of the New Directly Owned Company Preferred Equity Interests is meant to
7 capture and provide to the Plan Trust the economic value of 100% of the equity in the Direct-
8 Owned Companies. The issuance and transfer of the New Directly Owned Company Preferred
9 Equity Interests to the Plan Trust will be documented in a commercially reasonable manner and so
10 as to not impede the ability the Direct-Owned Companies or any subsidiaries thereof to refinance
11 or sell their real estate projects or other property and create value for the Plan Trust. The New
12 Direct-Owned Company Preferred Equity Interests granted to and held by the Plan Trust will be
13 passive, non-voting interests and the Plan Trust will have only the right to receive distributions on
14 account of such interests as provided herein and will not have the right to vote or exercise any
15 other rights incident to ownership. For abundance of caution and purposes of clarity, the New
16 Directly Owned Company Preferred Equity Interests are interests in the Direct-Owned Companies
17 and are not an interest in any real estate of such companies or their subsidiaries.

18 **2. Management**

19 The Debtor will continue to be the Manager and to manage the Direct-Owned Companies,
20 the subsidiaries of the Direct-Owned Companies, and their respective operations and real estate
21 projects as is currently the case; provided, however, that any Major Decision shall require the prior
22 written consent of the Plan Trustee until the New Directly Owned Company Preferred Equity
23 Interests are redeemed. As used herein, the term "Major Decision" means any of the following by
24 a Subject Company:

- 25 1. The sale, transfer, or encumbrance of substantially all of the assets or of the real
26 property of a Subject Company;
27 2. The merger or consolidation of a Subject Company with any other person; and
28

3. The (a) incurrence of debt secured by assets of a Subject Company or (b) receipt of new investment requiring the issuance of new shares or units by a Subject Company outside the ordinary course of business and in an amount of \$500,000 or more.

If the Plan Trustee does not consent to a Major Decision, then the Reorganized Debtor may seek approval of such Major Decision by the Bankruptcy Court.

IV. PROVISIONS GOVERNING DISTRIBUTIONS

A. Dates of Distributions

Effective Date Payments shall be deemed timely made if made as soon as practicable after the Effective Date, but, in any event, within fifteen (15) days of the Effective Date. All other payments shall occur as set forth in the Plan.

B. Manner of Distribution

Monetary Distributions payments under the Plan may be made by (i) wire transfers from, or (ii) a check drawn on a domestic bank, at the option of the Reorganized Debtor or the Plan Trustee, whomever is to make, or cause to be made, the Distribution or payment in question as provided in the Plan.

C. Delivery of Distribution in General

Distributions to the Holders of Allowed Claims shall be made, (a) at the addresses set forth on the Proof of Claim filed by such Holders, (b) at the addresses reflected in the Schedules if no Proof of Claim has been filed, or (c) in the case of a Holder of a Claim that is governed by an agreement and is administered by an agent or servicer, at the address (i) set forth on any Proof of Claim filed by the agent or servicer, (ii) in the Schedules for the agent or servicer if no Proof of Claim has been filed, or (iii) contained in the official records of such agent or servicer. Holders of Claims may change the address to which Distributions will be sent by filing a written change of address with the Court and serving a copy of the change of address on the Plan Trustee and the Reorganized Debtor.

1 If a Distribution to a Holder of an Allowed Claim is returned to the Plan Trustee or the
2 Reorganized Debtor, whomever made such Distribution, as undeliverable or otherwise unclaimed
3 ("Undeliverable Distribution"), the Plan Trustee and the Reorganized Debtor shall make no further
4 Distributions to such Holder unless and until the Plan Trustee and the Reorganized Debtor are
5 notified in writing of such Holder's then-current address, at which time all Undeliverable
6 Distributions shall be made to such Holder without interest. All Undeliverable Distributions shall
7 be retained by the Plan Trustee or the Reorganized Debtor (whomever made such Undeliverable
8 Distributions) until such Undeliverable Distributions are claimed or are forfeited. In the case of
9 Cash, the Plan Trustee or the Reorganized Debtor, as the case may be, shall hold returned
10 Undeliverable Distributions in a segregated interest-bearing account for Undeliverable
11 Distributions until such Undeliverable Distributions are claimed or are forfeited. Nothing
12 contained in the Plan shall require the Plan Trustee, the Reorganized Debtor, or anyone else, to
13 attempt to locate the intended recipient of an Undeliverable Distribution.

14 Any Holder of an Allowed Claim that does not present itself within six (6) months of the
15 Distribution date upon which the Undeliverable Distribution was made shall be deemed to have
16 forfeited its right or Claim to or interest in the Undeliverable Distribution and shall be forever
17 barred and enjoined from asserting any Claim for the Undeliverable Distribution against the
18 Reorganized Debtor, the Estate, the Plan Trustee, the Plan Trust, and their respective agents,
19 attorneys, representatives, employees or independent contractors, and/or any of its or their
20 property. In such cases, the Undeliverable Distribution and accrued interest thereon shall become
21 property of the Plan Trust or the Reorganized Debtor (whomever made the Undeliverable
22 Distribution) free and clear of any restrictions thereon and notwithstanding any federal or state
23 escheat laws to the contrary and shall be distributed in accordance with the terms of this Plan.

24 **D. Rounding of Payments**

25 The Plan Trustee and the Reorganized Debtor shall not be required to make Distributions
26 or payments of fractions of dollars. Whenever any payment of a fraction of a dollar under this
27 Plan would otherwise be called for, the actual payment may reflect a rounding of such fraction to
28 the nearest whole dollar (up or down), with half dollars being rounded down.

1 **E. Interest on Claims**

2 Unless otherwise specifically provided for in the Plan, post-petition interest shall not
3 accrue or be paid on any Claims, and no Holder of a Claim shall be entitled to interest accruing on
4 or after the Petition Date on any Claim.

5 **F. Compliance with Tax Requirements**

6 In connection with this Plan and Distributions under this Plan, the Plan Trustee shall, to the
7 extent applicable, comply with all tax withholding, payment and reporting requirements imposed
8 by federal, state, or local taxing authorities. The Plan Trustee shall be authorized to take any and
9 all actions that may be necessary or appropriate to comply with such withholding, payment, and
10 reporting requirements. All amounts properly withheld from Distributions to a Holder of a Claim
11 as required by applicable law and paid over to the applicable taxing authority for the account of
12 such Holder shall be treated as part of the Distributions to such Holder. All persons holding
13 Claims shall be required to provide any information necessary to effect information reporting and
14 withholding of such taxes. If such information has not been received by the Plan Trustee, then the
15 Plan Trustee may, at its option, withhold the amount required and distribute the balance to such
16 Holder or decline to make the Distribution until the information is received.

17 Notwithstanding any other provision of the Plan, (a) each Holder of an Allowed Claim that
18 is to receive a Distribution pursuant to this Plan shall have sole and exclusive responsibility for the
19 satisfaction and payment of any tax obligations imposed by any governmental unit, including
20 income, withholding, and other tax obligations, on account of such Distribution, and (b) no
21 Distribution shall be made to or on behalf of such Holder pursuant to the Plan unless and until
22 such Holder has made arrangements satisfactory to the Plan Trustee, for the payment and
23 satisfaction of such withholding tax obligations or such tax obligation that would be imposed upon
24 the Plan Trustee in connection with such Distribution. Any property to be distributed pursuant to
25 the Plan shall, pending implementation of such arrangements, be treated as an Undeliverable
26 Distribution.

G. De Minimis Distributions

The Plan Trustee and the Reorganized Debtor shall not have any obligation to make a Distribution on account of an Allowed Claim if the amount to be distributed to the specific Holder of the Allowed Claim on a Distribution Date is for an amount of \$5.00 or less, and may, at the option of the Plan Trustee or the Reorganized Debtor, whomever is making the Distribution in question, either add the Distribution to the next Distribution if the collective amount would be greater than \$5.00, or treat the Distribution as an Undeliverable Distribution.

H. Setoffs

Except as otherwise provided in the Plan, the Plan Trustee and the Reorganized Debtor may, pursuant to 11 U.S.C. § 553 or applicable non-bankruptcy law, but shall not be required to, set off against any Allowed Claim and the Distribution to be made by them pursuant to the Plan on account of such Allowed Claim any account stated, Claim, right, or Cause of Action which the Debtor or the Estate possess against the Holder of such Allowed Claim; provided, however, that neither the failure to effect such a setoff nor the allowance of any Claim shall constitute a waiver or release by the Plan Trustee or the Reorganized Debtor of any such account, Claim, right, and Cause of Action that the Debtor or the Estate may possess against the Holder of such Allowed Claim.

I. Limitation on Liability

The Plan Trustee, the Debtor, the Reorganized Debtor and any of their respective employees, members, officers, directors, shareholders, agents, or professionals shall not be liable for (i) any acts or omissions, except for willful misconduct, in connection with implementing the Distribution provisions of the Plan and the making or withholding of Distributions under the Plan, or (ii) any change in the value of Distributions made under the Plan resulting from any delays in making such Distributions in accordance with the terms of the Plan (including, but not limited to, any delays caused by the resolution of Disputed Claims).

V. CLAIM OBJECTIONS AND DISPUTED CLAIMS

THE CLAIM BAR DATE FOR FILING A PROOF OF CLAIM IN THIS CASE BY CLAIMANTS WHOSE CLAIMS WERE NOT SCHEDULED OR WERE SCHEDULED AS DISPUTED, CONTINGENT OR UNLIQUIDATED WAS FEBRUARY 10, 2022 .

A. Standing

On the Effective Date, the Reorganized Debtor, the Plan Trustee, and any other party-in-interest shall have standing to file objections to Claims. An objection to any Claim, whether based on the Schedules or any proof of claim, may be filed after the Effective Date by such parties and there is no deadline after the Effective Date to file objections to Claims. The Reorganized Debtor may settle or compromise any Disputed Claim without approval or order of the Court, notice, or hearing. The Reorganized Debtor shall be deemed the real party in interest in any objections to Claims commenced prior to or after the Effective Date.

B. No Distribution Pending Allowance

Notwithstanding any other provision of the Plan, no payments or Distributions shall be made with respect to all or any portion of a Disputed Claim unless and until all objections to such Disputed Claim have been settled or withdrawn or have been determined by Final Order, and the Disputed Claim, or some portion thereof, has become an Allowed Claim.

C. Reserves for Disputed Claims

In the event that Disputed Claims are pending at the time of a Distribution under the Plan, the Plan Trustee shall establish and maintain a reserve for such Disputed Claims. For purposes of establishing a reserve for all Disputed Claims as otherwise required herein (excluding Contingent Claims), Cash will be set aside equal to the amount that would have been distributed to the Holders of the Disputed Claims had the Disputed Claims been Allowed on the date a Distribution is made to the Holders of Allowed Claims in the same Class or of the same priority as the Disputed Claims. For purposes of establishing a reserve for any Contingent Claim, Cash will be set aside equal to the amount that would have been distributed to the Holder of such Contingent Claim had such Contingent Claim been Allowed at five percent (5%) of the amount reflected in the Proof of Claim filed by the Holder of such Contingent Claim, or in the Schedules if no Proof

1 of Claim has been filed, on the date a Distribution is made to the Holders of Allowed Claims in
2 the same Class or of the same priority as such Contingent Claim. If a Disputed Claim ultimately
3 becomes an Allowed Claim, the amount of Cash reserved for that Disputed Claim shall be
4 distributed on the earlier of: (a) the Distribution Date following the date when the Disputed Claim
5 becomes an Allowed Claim, or (b) ninety (90) days after such Disputed Claim becomes an
6 Allowed Claim. Any reserved Cash not ultimately distributed to the Holder of a Disputed Claim
7 because the Disputed Claim does not become an Allowed Claim shall become property of the Plan
8 Trust and shall be re-distributed in accordance with the terms of the Plan.

9 Absent further order of the Court, if and to the extent that a Contingent Claim does not
10 become an Allowed Claim by the one year anniversary of the Effective Date, then such Claim
11 shall be considered a Disallowed Claim and any Cash reserved on account of such Claim shall
12 become property of the Plan Trust and shall be re-distributed in accordance with the terms of the
13 Plan and the Holder of such Contingent Claim shall not be entitled to any further Distributions
14 under the Plan.

15 The Plan Trustee, the Reorganized Debtor, and any party-in-interest shall have the ability
16 to file a motion pursuant to 11 U.S.C. § 502I to seek an order of the Court estimating and
17 establishing the reserve for a Disputed Claim that is different than required by the Plan.

18 **D. Claims Paid By Third Parties**

19 To the extent that the Holder of a Claim receives an Other Distribution (before or after the
20 Effective Date) on account of such Claim, (i) the Holder of such Claim shall be required to, within
21 thirty (30) days of the receipt of such Other Distribution, file an amended Proof of Claim
22 reflecting a reduction of such Claim in the amount of such Other Distribution, and (ii) whether or
23 not such amended Proof of Claim is filed, such Claim shall be deemed disallowed and reduced in
24 the amount of such Other Distribution as of the Holder's receipt of such Other Distribution without
25 an objection having to be filed and without any further notice, action, order, or approval by the
26 Court.

1 **VI. EXECUTOR CONTRACTS AND UNEXPIRED LEASES**

2 **A. Assumption and Assignment**

3 The Debtor did not have any executory contracts or unexpired leases of the Petition Date.
4 If and to the extent that an insurance policy of the Debtor (including the Life Insurance Policies) is
5 considered or determined to be an executory contracts, then such insurance policy shall be
6 deemed, upon the Effective Date, assumed by the Debtor and assigned to the Reorganized Debtor
7 if necessary to continue such insurance policies in full force pursuant to § 365 of the Bankruptcy
8 Code without the payment of any cure amount under § 365 and shall continue in full force and
9 effect. Other than as provided in the preceding sentence, no executory contracts or unexpired
10 leases are to be assumed by the Plan.

11 **B. Rejections**

12 On the Effective Date, except as expressly provided in Section VI.A. above, the Debtor
13 will be deemed to have rejected any and all executory contracts and unexpired leases not
14 previously assumed by order of this Court or identified as being expressly assumed under this
15 Plan. The Confirmation Order will constitute a Court order approving the rejection, as of the
16 Effective Date, of such executory contracts and unexpired leases. Any Claim for damages arising
17 from the rejection under the Plan of any executory contract or unexpired lease must be Filed with
18 the Court and served upon the Debtor and his counsel within thirty (30) days of the later of (a) the
19 Confirmation Date, and (b) the Debtor's amendment of the Plan to eliminate the executory contract
20 or unexpired lease. Any such damage Claims that are not timely Filed and served will be forever
21 barred and unenforceable against the Debtor, the Estate, the Plan Trust, the Plan Trustee and their
22 respective property. Persons holding these Claims who fail to timely File Claims will be barred
23 from receiving any Distributions under the Plan on account of their requested damage Claims.

24 IF YOU ARE A PARTY TO A LEASE OR CONTRACT TO BE REJECTED AND YOU
25 OBJECT TO THE REJECTION OF YOUR LEASE OR CONTRACT, THEN YOU MUST FILE
26 AND SERVE YOUR OBJECTION WITHIN THE DEADLINE FOR OBJECTING TO THE
27 CONFIRMATION OF THE PLAN.
28

VII. CHANGES IN RATES SUBJECT TO REGULATORY COMMISSION APPROVAL

The Debtor is an individual and 11 U.S.C. § 1129(a)(6) is not applicable.

VIII. PRESERVATION OF CAUSES OF ACTION AND AVOIDANCE ACTIONS

Any Avoidance Actions (excluding the Released Claims) reserves for, and shall be vested in on the Effective Date, the Plan Trustee and, upon and after the Effective Date, the Plan Trustee shall have all rights to commence and pursue, as appropriate, any and all such Avoidance Actions, whether arising prior to or after the Petition Date, in any court or other tribunal. On the Effective Date, the Plan Trustee is vested with authority to enforce, file, litigate, prosecute, settle and collect any Avoidance Actions (excluding the Released Claims), although the Plan Trustee will not be required to do so. With respect to any Avoidance Action commenced prior to the Effective Date by the Debtor, the Plan Trustee shall stand in the shoes of the Debtor as the real party in interest.

With the exception of the Released Claims and the Avoidance Actions, the Plan reserves for the Reorganized Debtor all rights to commence and pursue, as appropriate, any and all other Estate Claims, whether arising prior to or after the Petition Date, in any court or other tribunal. On the Effective Date, the Reorganized Debtor is vested with authority to enforce, file, litigate, prosecute, settle and collect any Estate Claims (excluding the Avoidance Actions and Released Claims), although the Reorganized Debtor will not be required to do so. With respect to any Estate Claim commenced prior to the Effective Date to which the Debtor is a party, the Reorganized Debtor shall stand in the shoes of the Debtor as the real party in interest. The Estate Claims reserved for the Reorganized Debtor under the Plan specifically include any and all claims of the Debtor against Ed Choi and other parties based or arising from the facts set forth in the Disclosure Statement concerning TSH and Shady Bird's acquisition of Evertrust's loan and subsequent collection efforts.

While the Debtor has attempted to identify Estate Claims in the Disclosure Statement which may be pursued, and hereby incorporate by reference those disclosures and provisions, the failure to list any potential Estate Claim or defendant, generally or specifically, is not intended to limit the rights of the Reorganized Debtor to pursue any Estate Claim. Unless an Estate Claim

1 against any Person is expressly waived, relinquished, released, compromised or settled as provided
2 or identified in the Plan (as with the Released Claims), any Confirmation Order or prior
3 Bankruptcy Court order, the Debtor expressly reserves Estate Claims for later adjudication.
4 Therefore, no preclusion doctrine, including, without limitation, the doctrine of res judicata,
5 collateral estoppel, issue preclusion, claim preclusion, estoppel (judicial, equitable or otherwise) or
6 laches shall apply to any Estate Claim upon or after Confirmation or consummation of the Plan.

7 All Estate Claims are preserved under the Plan for the benefit of the Reorganized Debtor
8 (excluding Avoidance Actions and the Released Claims). The Reorganized Debtor may settle or
9 compromise any Estate Claims (other than the Avoidance Actions) without further notice, motion,
10 or order of the Bankruptcy Court. The Plan Trustee may settle or compromise any Avoidance
11 Actions (excluding Released Claims) without further notice, motion, or order of the Bankruptcy
12 Court. Notwithstanding anything in this Section VIII. to the contrary, the Released Claims are
13 released as provided in Section III.C.

14 ANY CREDITORS THAT BELIEVE THEY RECEIVED A TRANSFER OR SETOFF
15 THAT IS AVOIDABLE UNDER THE CODE OR THAT HOLD A CLAIM AGAINST THE
16 ESTATE THAT COULD BE SUBJECT TO AN OBJECTION BASED UPON FAILURE TO
17 RETURN AN AVOIDABLE TRANSFER OR SETOFF, ARE DIRECTED TO REVIEW THEIR
18 RECORDS AND/OR THE DEBTORS' SCHEDULES FOR FURTHER INFORMATION.
19 HOWEVER, ALL RIGHTS OF THE DEBTOR AND THE ESTATE ARE RESERVED WITH
20 RESPECT TO ANY AND ALL TRANSFERS OR SETOFFS WHICH MAY BE AVOIDABLE
21 UNDER THE BANKRUPTCY CODE OR OTHER LAW.

22
23 **IX. RETENTION OF JURISDICTION**

24 The Court will retain exclusive jurisdiction during the Plan payout period to resolve
25 disputes and conflicts arising from the administration of the Plan, upon request of a party-in-
26 interest and after notice and a hearing, including, without limitation:

- 27 a. The adjudication of the validity, scope, classification, allowance, and disallowance
28 of any Claim;

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- b. The estimation of any Claim;
- c. The allowance or disallowance of Professional-Fee Claims, compensation, or other Administrative Expense Claims;
- d. To hear and determine Claims concerning taxes pursuant to Bankruptcy Code §§ 346, 505, 525, and 1146;
- e. To hear and determine any action or proceeding brought under Bankruptcy Code §§ 108, 510, 543, 544, 545, 547, 548, 549, 550, 551, and 553;
- f. To hear and determine all actions and proceedings which relate to pre-confirmation matters;
- g. To hear and determine any issue relating to the assumption or rejection of executory contracts and unexpired leases;
- h. To hear and determine any modification to the Plan in accordance with the Bankruptcy Rules and the Bankruptcy Code;
- i. To enforce and interpret the terms of the Plan;
- j. To correct any defects, cure any omissions, or reconcile any inconsistency in the Plan or the Confirmation Order as may be necessary to carry out the purpose and intent of the Plan;
- k. To enforce any release, injunction or discharge provided in the Plan;
- l. The entry of any order, including injunctions, necessary to enforce title, rights and powers of the Debtor and/or the Plan Trust, and to impose such limitations, restrictions, terms and conditions on such title, rights and powers as the Court may deem necessary including, without limitation, any right of the Debtor and/or the Plan Trust to recover and liquidate assets;
- m. To determine the validity, extent and priority of all liens and security interests against property of the Debtor, the Estate, or the Plan Trust;
- n. To hear and resolve any disputes regarding employment applications and professional fees;

- o. To hear and determine such matters and make such orders as are consistent with the Plan as may be necessary to carry out the provisions thereof and to adjudicate any disputes arising under or relating to any order entered by the Court in this Case;
- p. The entry of an order concluding and terminating this Case; and
- q. To resolve any disputes as to whether there has been a default under the Plan.

X. TAX CONSEQUENCES OF THE PLAN

CREDITORS CONCERNED WITH HOW THE PLAN MAY AFFECT THEIR TAX LIABILITY SHOULD CONSULT WITH THEIR OWN ACCOUNTANTS, ATTORNEYS, AND/OR ADVISORS. The following disclosure of possible tax consequences is intended solely for the purpose of alerting readers about possible tax issues the Plan may present to the Debtor or the Plan Trust. The Debtor and his professionals CANNOT and DO NOT represent that the tax consequences contained below are the only tax consequences of the Plan because the Tax Code embodies many complicated rules which make it difficult to state completely and accurately all the tax implications of any action.

Due to the unsettled and complex nature of some of the tax issues, as well as the possibility that developments subsequent to the date hereof could affect the tax consequences of the Plan, the following discussion should not be regarded as definitive or as covering all possible tax consequences. Additionally, this summary does not discuss all aspects of federal income taxation that may be relevant to a particular creditor in light of its individual circumstances or to certain creditors subject to special treatment under the federal income tax laws (for example, life insurance companies, tax-exempt organizations, foreign corporations and individuals who are not citizens or residents of the United States).

The liquidation of certain assets could trigger adverse tax consequences, such as capital gains taxes, that could reduce the value available for the Holders of Allowed Claims. The Debtor has employed a tax professional to assist in analyzing the potential tax consequences of the Plan and to help guard against any negative tax consequences. The Debtor is still in the process of determining the tax consequences of the Plan. However, the Debtor's tax advisor has calculated

1 the tax consequences of liquidating certain real property and the results of such analysis is
2 included in the Liquidation Analysis attached hereto as Exhibit "2." The Debtor is attempting to
3 prevent or minimize any adverse consequences materially affecting the distributions to the Holders
4 of Allowed Claims under the Plan, to the extent possible.

5 The tax treatment of the Plan Trust is discussed in the Plan. As stated above, creditors
6 concerned with how the Plan will affect their own tax liability should consult with their own
7 accountants, attorneys, and/or advisors.

8
9 **XI. EXEMPTION FROM TRANSFER TAXES**

10 Pursuant to Bankruptcy Code § 1146(a), any transfers from the Debtor to the Plan Trust or
11 to any other Person pursuant to the Plan in the United States shall not be subject to any stamp, real
12 estate transfer, personal property, recording or other similar tax, and the Confirmation Order shall
13 direct the appropriate state or local governmental officials or agents to forgo the collection of any
14 such tax or governmental assessment and to accept for filing and recordation any of the foregoing
15 instruments or other documents without payment of any such tax or governmental assessment.

16
17 **XII. EFFECT OF CONFIRMATION**

18 **A. Discharge**

19 Confirmation of the Plan binds the Debtor, all creditors, and all other parties in interest to
20 the provisions of the Plan whether or not the claim of such creditor is impaired under the Plan and
21 whether or not such creditor or other party in interest has accepted the Plan.

22 The Debtor seeks a discharge as of the Effective Date. The Debtor asserts that "cause"
23 exists for a discharge upon confirmation of the Plan because, upon the Effective Date, the Trust
24 Assets are being vested in the Plan Trust and the Plan Trustee, subject to the terms and conditions
25 of the Plan, will be charged with distributing such assets as necessary to pay Allowed Unsecured
26 Claims. Nothing herein shall limit the effect of confirmation as described in §§ 524 and/or 1141
27 of the Bankruptcy Code.

1 Upon discharge, the Reorganized Debtor and his assets will, to the fullest extent permitted
2 by § 1141 of the Bankruptcy Code, including, without limitation as provided in § 1141(d)(1)(A) of
3 the Bankruptcy Code, be deemed discharged and released from any and all Claims, obligations,
4 suits, judgments, damages, demands, debts, rights, causes of action, remedies, losses, and
5 liabilities of any nature whatsoever, whether known or unknown, that arose before the Effective
6 Date or that are based upon, arise from, or otherwise relate to acts, events, omissions, transactions,
7 or other activities of any kind that occurred before the Effective Date, and all debts of the kind
8 specified in Bankruptcy Code §§ 502(g), 502(h), or 502(i), in each case, regardless of whether: (1)
9 a proof of claim based on such a debt is filed or deemed filed; (2) a Claim based on such a debt is
10 allowable under Bankruptcy Code § 502; or (3) the person holding the Claim based on such a debt
11 has accepted the Plan; provided, however, that in no event shall the Debtor shall not be discharged
12 of any obligations remaining under the Plan as of the Effective Date.

13 Except as expressly provided in the Plan, pursuant to section 1141(d)(5)(A), the
14 Confirmation Order will be a judicial determination of discharge of all liabilities of the Debtor to
15 the fullest extent allowed under section 1141 of the Bankruptcy Code, and the Reorganized Debtor
16 will not be liable for any Claims and will only have any obligations that are specifically provided
17 for in the Plan. Holders of any Claims or debts against the Debtor will, upon the Effective Date,
18 be enjoined from taking any action to collect, recover, or offset any such Claim or debt against the
19 Reorganized Debtor or as a personal liability of the Reorganized Debtor.

20 Except as otherwise expressly provided in the Plan or the Confirmation Order, all persons
21 will be precluded from asserting or pursuing against the Reorganized Debtor, the Estate, the Plan
22 Trustee, the Plan Trust, or their respective property any Claims based on, arising from, or in
23 connection with any act, event, omission, transaction, or other activity of any kind that occurred
24 before the Effective Date, and any debt of the Debtor or Claim against the Debtor, whether
25 secured or unsecured, which was in default up to the Effective Date, will no longer be deemed in
26 default and will be deemed in good standing.

27
28

B. Injunction

All Persons or entities who have held, hold, or may hold Claims (other than Claims that are unimpaired under the Plan), and all other parties in interest in the Case, along with their respective current and former employees, agents, officers, directors, principals, and direct and indirect affiliates, are permanently enjoined, from and after the Effective Date, from, in respect of any Claim or cause of action treated, discharged, released, or settled under the Plan, (i) commencing, conducting, or continuing in any manner, directly or indirectly, any suit, action, or other proceeding of any kind (including, without limitation, any proceeding in a judicial, arbitral, administrative, or other forum) against the Reorganized Debtor; (ii) enforcing, levying, attaching, collecting, or otherwise recovering by any manner or means, whether directly or indirectly, of any judgment, award, decree, or order against the Reorganized Debtor; (iii) creating, perfecting, or enforcing in any manner, directly or indirectly, any encumbrance of any kind against the Reorganized Debtor; (iv) asserting any right of setoff, subrogation, or recoupment of any kind, against any obligation due from the Reorganized Debtor, or against the property or interests in property of the Debtor or Reorganized Debtor, on account of such Claims; or (v) commencing or continuing in any manner any action or other proceeding of any kind on account of, in connection with, or with respect to any such Claims released or settled pursuant to the Plan; provided, however, that nothing contained herein shall preclude such entities from exercising their rights pursuant to and consistent with the terms of the Plan.

C. Revesting of the Assets

Upon the Effective Date, all assets of the Estate, excluding the Trust Assets, are vested in the Reorganized Debtor free and clear of all claims and interests, except as otherwise expressly set forth in the Plan or the Confirmation Order.

D. Exculpation and Releases

Effective upon the entry of the Confirmation Order, the Debtor, the Committee, the Plan Trustee, the Plan Trust, and the professionals, and any of their respective members, officers, directors, shareholders, employees, or agents, shall not have or incur any liability to any Person, including any creditor of the Debtor, for any act taken or omission made in connection with or

1 related to the negotiation, formulation, or preparation of the Plan and the Disclosure Statement, the
2 approval of the Disclosure Statement, the confirmation of the Plan, the consummation of the Plan,
3 or the administration of the Plan, the Case, or the property to be distributed under the Plan, to the
4 fullest extent permitted by applicable statutes and case law, except that the Debtor and the Plan
5 Trust will be liable for the performance of obligations assumed by it or imposed upon it under or
6 by the Plan.

7 **E. Disbanding of the Committee**

8 Upon the Effective Date, the Committee shall terminate and disband and the members of
9 the Committee shall be released and discharged of and from all further authority, duties,
10 responsibilities and obligations related to and arising from their service as Committee members.
11 The professionals retained by the Committee and the members thereof shall not be entitled to
12 compensation or reimbursement of expenses for any services rendered after the Effective Date,
13 except for services provided and expenses incurred in preparing, pursuing, or otherwise in
14 connection with any applications by such professionals for allowance of compensation and
15 reimbursement of expenses.

16 **F. Modification of the Plan**

17 The Debtor may modify the Plan at any time before confirmation. If the Plan is modified,
18 however, the Court may require a new Disclosure Statement or re-voting on the Plan depending on
19 the nature of the modifications and their effect on parties in interest. The Reorganized Debtor may
20 seek to modify the Plan at any time after confirmation if (a) the Plan has not been substantially
21 consummated, and (b) the Court, after notice and a hearing, authorizes the proposed modification.

22 **G. Post-Confirmation Status Report**

23 Within 120 days of the entry of the Confirmation Order, the Reorganized Debtor shall file
24 a status report with the Court explaining what progress has been made toward consummation of
25 the confirmed Plan. The status report shall be served on each of the following or their counsel via
26 notice of electronic filing: (a) the OUST; and (b) the Plan Trustee. Further status reports shall be
27 filed every 120 days and served on the same entities.

28

H. Quarterly Fees

Quarterly fees accruing under 28 U.S.C. § 1930(a)(6) prior to confirmation shall be paid to the OUST on or before the Effective Date. Quarterly fees accruing under 28 U.S.C. § 1930(a)(6) after confirmation shall be paid to the OUST by the Plan Trustee from the assets of the Plan Trust until a final decree, or the entry of an order dismissing the Case or converting the Case to chapter 7, at the rate in effect at the time such fees are due.

I. Post-Confirmation Conversion/Dismissal

After the Plan is confirmed, a creditor or party in interest may bring a Motion, only after notice and a hearing, to convert or dismiss the Case under Bankruptcy Code § 1112(b) if there is a material default in performing the Plan. If the Court orders the Case converted to chapter 7 after the Plan is confirmed, then all property that had been property of the Estate and transferred to the Plan Trust, and that has not been distributed under the Plan will revest in the chapter 7 estate. The automatic stay will be reimposed upon the revested property only to the extent that relief from stay was not previously authorized by the Court during the Case.

The Confirmation Order may also be revoked under very limited circumstances. The Court may revoke the Confirmation Order if it was procured by fraud and if a party in interest brings an adversary proceeding to revoke the confirmation within 180 days after the entry of the Confirmation Order.

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1 **J. Final Decree**

2 Once the Estate has been fully administered pursuant to Bankruptcy Rule 3022, either the
3 Debtor or the Plan Trustee may File a Motion with the Court to obtain a final decree closing the
4 Case.

5 DATED: March 10, 2023

6 By:



DONALD CHAE

8 DATED: March 10, 2023

SMILEY WANG-EKVALL, LLP

11 By:

/s/ Robert S. Marticello

ROBERT S. MARTICELLO

Attorneys for Donald Chae, Debtor-in-Possession

SMILEY WANG-EKVALL, LLP

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Costa Mesa, California 92626

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TABLE OF DEFINITIONS

A. Definitions

The following defined terms are used in the Disclosure Statement and in the Plan. Any capitalized term that is not defined herein, but that is defined in the Bankruptcy code or in the Bankruptcy Rules shall have the meaning ascribed that term in the Bankruptcy Code or the Bankruptcy Rules.

"Administrative Claim" means a Claim for costs and expenses of the administration of a Case under Section 503(b) or 507(a)(1) of the Bankruptcy Code, including, without limitation, a Claim of a Professional employed at the expense of the Estate and any fees or charges asserted against the Estate under 28 U.S.C. § 1930.

"Administrative Tax Claim" means an Administrative Claim or other Claim that is not an Allowed Secured Claim and that a government unit asserts against Debtors for taxes (or for related interest or penalties) for any tax period that, either in whole or in part, falls within the period beginning on the Petition Date and ending on the Effective Date.

"Allowed Administrative Claim" means an Administrative Claim allowed pursuant to Sections 503(b) or 507(a)(1) of the Bankruptcy Code or pursuant to 28 U.S.C. § 1930.

"Allowed" means a claim that is either (i) listed in the Schedules filed with the Bankruptcy Court by the Debtor and not listed as disputed, contingent, unliquidated or unknown as to amount and as to which no timely objection has been filed; or (ii) with respect to which a proof of claim has been filed by the Claims Bar Date, and as to which no objection was filed within the time period fixed by the Bankruptcy Code, the Bankruptcy Rules, the Plan or order of the Bankruptcy Court, or as to which any such objection has been determined by a Final Order. The amount of an Allowed Claim shall be as follows: (a) if the creditor did not file a proof of claim with the Bankruptcy Court on or before the Claims Bar Date, (1) the amount of the creditor's Claim as listed in the operative Schedules as not disputed, contingent, unliquidated or unknown, or (2) the amount fixed by Final Order of the Bankruptcy Court in resolving any timely filed objection or other motion disputing the amount of such Claim; or (b) if the creditor filed a proof of claim with the Bankruptcy Court on or before the Claims Bar Date and the claim is not a Contingent Claim,

(1) the amount stated in such proof of claim if no objection to such proof of claim was filed within the time period fixed by the Bankruptcy Code, the Bankruptcy Rules, the Plan or order of the Bankruptcy Court, or (2) the amount thereof as fixed by a Final Order of the Bankruptcy Court if an objection to such proof of claim was filed within the time period fixed by the Bankruptcy Code, the Bankruptcy Rules, the Plan or order of the Bankruptcy Court. Any Claim for which a proof of claim is not filed by the Claims Bar Date and that is not listed in the Schedules or is listed in the Schedules as disputed, unliquidated, contingent or unknown shall be zero, and no distribution shall be made on account of such Claim. An Allowed Claim shall not include any unmatured or post-petition interest unless otherwise stated in the Plan.

"Allowed [Class Designation and/or Secured, Priority, or General Unsecured] Claim"

means an Allowed Claim in the specified Class and/or of the specified type.

"Allowed General Unsecured Claim" means an Allowed Unsecured Claim that is not

entitled to priority.

"Allowed GUC Distribution Amount" means the Allowed General Unsecured Claim

amount *minus* the greater of any (a) amounts, (b) property, or (c) value that the holder of such

Allowed General Unsecured Claim receives, or has received, from the primary obligor, any

guarantor other than the Debtor, or from property or collateral owned or held by third parties

(collectively "Other Distributions"). Any Other Distributions received by a holder of an Allowed

General Unsecured Claim shall be first applied to reduce the principal amount of such Claim, and

any remaining consideration to satisfy any accrued but unpaid interest.

"APSEC Deed of Trust" means the deed of trust acquired from Pacific City Bank acquired

and assigned to APSEC that encumbers the Malibu Properties.

"APSEC Loan Documents" means collectively the Business Loan Agreement, Promissory

Note, Commercial Guaranty, and the Deed of Trust with Pacific City Bank acquired and assigned

to APSEC.

"APSEC Note" means the Promissory Note acquired with Pacific City Bank acquired and

assigned to APSEC.

1 "Avoidance Action" means causes of action arising under 11 U.S.C. §§ 510, 541, 542, 544,
2 545, 547, 548, 549, 550, 551 and/or 553, or under related state or federal statutes and common
3 law, including, without limitation, fraudulent transfer laws, whether or not litigation is
4 commenced to prosecute such causes of action.

5 "Bankruptcy Code" or "Code" means Title 11 of the United States Code, as amended.

6 "Bankruptcy Rules" means, collectively, the Federal Rules of Bankruptcy Procedure, as
7 amended, and the Local Bankruptcy Rules for use in the United States Bankruptcy Court for the
8 Central District of California.

9 "Business Day" means any day, other than a Saturday, a Sunday or a "legal holiday" as
10 defined in Federal Rule of Bankruptcy Procedure 9006(a).

11 "Case" means Donald Chae's bankruptcy case under chapter 11 of the Bankruptcy Code
12 that is pending before the United States Bankruptcy Court for the Central District of California,
13 Santa Ana Division, as Case No. 8:16-bk-11588-TA.

14 "Cash" means cash and cash equivalents including, but not limited to, checks or similar
15 forms of payment or exchange.

16 "Cash on Hand" means the Cash in the Debtor's debtor-in-possession account as of the
17 Effective Date.

18 "Claim" means (i) a right to payment from the Debtor, whether or not such right to
19 payment is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured,
20 disputed, undisputed, legal, equitable, secured, or unsecured, and includes any claims based on,
21 arising from, or connected with any work performed by the Debtor prior to the Petition Date, or
22 (ii) a right to an equitable remedy for breach of performance if such breach gives rise to a right to
23 payment from the Debtor whether or not such right to an equitable remedy is reduced to judgment,
24 liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, secured, or
25 unsecured.

26 "Claims Bar Date" means February 10, 2022, the date the Court set as the deadline for
27 creditors to file proofs of claim against the Debtor's Estate.
28

1 "Class" means the group of Claims classified in the Plan pursuant to Sections 1122 and
2 1123 of the Bankruptcy Code.

3 "Confirmation Date" means the date on which the Bankruptcy Court enters the
4 Confirmation Order.

5 "Confirmation Order" means the order, as entered, of the Bankruptcy Court confirming the
6 Plan.

7 "Contingent Claims" means Contingent Equity Claims and Contingent Secured Claims.

8 "Contingent Equity Claim" means any Claim asserted against the Debtor based on or
9 arising from a guaranty of, or other agreement, such as, a contribution agreement, related to, an
10 investment or the purchase of units in a non-debtor entity pending the later of (i) any contractual
11 maturity, retirement or redemption date (without acceleration and as may be extended and subject
12 to any forbearance), and (ii) the dissolution of such non-debtor entity.

13 "Contingent Secured Claim" means any Claim secured by property that is not property of
14 the Estate pending the later of (i) the contractual maturity date (without acceleration and as may be
15 extended and subject to any forbearance) and (ii) such time as the Holder of the Claim exhausts
16 the Holder's efforts to first collect and recover from such Holder's non-estate collateral.

17 "Court" means the United States Bankruptcy Court for the Central District of California,
18 Santa Ana Division.

19 "Debtor" refers to Mr. Donald Chae.

20 "Debtor Malibu Property" shall mean the real property located at 22003 Pacific Coast
21 Highway, Malibu, California.

22 "Direct-Owned Companies" or "Direct-Owned Company" means collectively or each LTC
23 Development, Inc., 3100 E. Imperial Highway Corp., M+D Properties, Greenland Construction
24 Service, LLC, DMC Investment Holdings, LLC, 3000 E. Imperial, LLC, and Comex Food
25 Service, Inc.

26 "Direct-Owned Real Estate" means the Beach Property and the Debtor Malibu Property.

27 "Disputed Claim" means all or any part of a Claim that is the subject of a timely objection
28 or request for estimation which is filed on or before the Claims Objection Deadline, which

1 objection or request for estimation has not been withdrawn or determined by a Final Order, and all
2 Contingent Claims. In addition, prior to (a) the Claims Objection Deadline, or (b) if prior to the
3 Claim Objection Deadline, a motion to disallow or estimate the Claim is filed, such date as the
4 Bankruptcy Court allows the Claim pursuant to a Final Order, any Claim that is evidenced by a
5 Proof of Claim shall be deemed a Disputed Claim for purposes of calculating and making any
6 Distributions under this Plan if: (1) no Claim corresponding to the proof of claim is listed in the
7 Schedules, (2) the Claim corresponding to the proof of claim is listed in the Schedules as disputed,
8 contingent, unliquidated or unknown, (3) the amount of the Claim as specified in the Proof of
9 Claim exceeds the amount of any corresponding Claim listed in the Schedules as not disputed, not
10 contingent, and liquidated, but only to such extent, or (4) the priority or classification of the Claim
11 as specified in the Proof of Claim differs from the priority of any corresponding Claim listed in the
12 Schedules.

13 "Distribution" or "Plan Distribution" means the Cash that is required to be distributed under
14 this Plan to the holders of Allowed Claims or Trust Interests.

15 "Distribution Date" means the Business Day selected by the Plan Trustee, in his or her sole
16 and absolute discretion, within forty-five (45) days after the calendar quarter in which
17 Distributable Proceeds are received by the Plan Trust to distribute Distributable Proceeds.

18 "Distributable Proceeds" means the Net Cash on Hand, Net Sale Proceeds, Excess Free
19 Cash Flow, Excess Capital Transaction Cash, and any proceeds received on account of the New
20 Direct-Owned Company Preferred Equity Interests, and any other proceeds received by the Plan
21 Trust from any disposition, or dividends or distributions in respect, of any Trust Assets.

22 "Effective Date" means the date that is the fifteenth (15th) day after entry of the
23 Confirmation Order.

24 "Estate" means the bankruptcy estate of Mr. Donald Chae created under Section 541 of the
25 Bankruptcy Code in the Case.

26 "Estate Claims" means any and all claims and causes of action that constitute property of
27 the Estate including, but not limited to, any Avoidance Actions, equitable subordination or debt
28 recharacterization actions against creditors or principals of the Debtor, any causes of action or

1 claims for recovery of any amounts owing to the Debtor or the Estate, and any claims or causes of
2 action against the Debtor's insurance carriers.

3 "Excess Capital Transaction Cash" shall mean the cash of a Direct-Owned Company from
4 the sale, or refinancing of debt secured by, of all or substantially all of the assets of such Direct-
5 Owned Company's assets or of an indirect or direct subsidiary of such Direct-Owned Company to
6 the extent not reasonably required (i) to pay reasonable out-of-pocket costs or expenses incurred in
7 connection with such transaction, (ii) for all existing, current or anticipated future expenses,
8 obligations or reserves of such Direct-Owned Company or indirect or direct subsidiary of such
9 Direct-Owned Company, or (iii) to satisfy, or reserve for, in full the debts of such Direct-Owned
10 Company or indirect or direct subsidiary of such Direct-Owned Company .

11 "Excess Free Cash Flow" means, on each Annual Distribution Date, with respect to the
12 prior calendar year, the amount, if any, by which (a) the revenue of a Direct-Owned Company for
13 such calendar year from whatever source, exceeds (b) the sum of (i) all cash expenditures made by
14 such Direct-Owned Company or any subsidiary of such Direct-Owned Company, including,
15 without limitation, for any Project Expenses, and (ii) reserves for such expenditures or otherwise
16 required by any loan documents of a subsidiary for such Direct-Owned Company.

17 "File," "Filed," or "Filing" means duly and properly filed with the Court and reflected on
18 the Court's official docket.

19 "Final Order" means an order or judgment entered by the applicable court on its docket.

- 20 a. That has not been reversed, rescinded, stayed, modified, or amended;
- 21 b. That is in full force and effect;
- 22 c. With respect to which the time to appeal or to seek review, remand, rehearing, or a
23 writ of certiorari has expired and as to which no timely Filed appeal or petition for
24 review, rehearing, remand, or writ of certiorari is pending; and
- 25 d. With respect to which any appeal, motion or petition for review, remand, rehearing,
26 or reconsideration, or writ of certiorari that is Filed has been dismissed or resolved
27 by the highest court to which the order or judgment was appealed or from which
28 review, rehearing, remand, reconsideration, or a writ of certiorari was sought, and

1 any remanded or further proceedings following such appeal, petition, or writ have
2 been resolved by Final Order.

3 "General Unsecured Claim" means an unsecured claim against the Debtor, however
4 arising, not entitled to priority under Section 507(a) of the Bankruptcy Code.

5 "Holder" means an entity holding a Claim.

6 "Hotel" means the partially-completed seven-story, 178-room hotel located at The Source
7 Master Development in Buena Park, California.

8 "Initial Term" shall mean the initial term of the Plan Trust commencing the Effective Date
9 and ending five (5) years after the Effective Date.

10 "Life Insurance Policies" shall mean the three life insurance policies, Metlife Life
11 Insurance, New York Life Insurance, and Equitable, listed on the Debtor's Schedule A/B.

12 "Malibu Properties" shall collectively mean the Debtor Malibu Property and the M+D
13 Malibu Property.

14 "M+D" shall means M+D Properties.

15 "M+D Malibu Property" shall mean the contiguous residential parcel located at 3849
16 Carbon Canyon, Malibu, California.

17 "Motion" means a request asking a judge to issue a ruling or order on a legal and/or
18 equitable matter.

19 "Net Cash on Hand" means the Cash on Hand in excess of the exempt Cash in the amount
20 of \$30,825 and the amounts necessary to pay the Allowed Class 2 Claim of the LACTTC or any
21 other Allowed Claims to be paid on the Effective Date as provided in the Plan.

22 "Net Sale Proceeds" means any Cash proceeds from the liquidation of the Direct-Owned
23 Real Estate and the M+D Malibu Property after the amounts necessary to pay or reserve for in full
24 (a) Allowed Claims secured by such properties or other liens, security interests, or encumbrances
25 on such properties, (b) customary and ordinary costs of sale, including any brokerage
26 commissions, and (c) any taxes, fees and/or penalties caused or resulting from the sale of any of
27 the Debtor's assets, including, without limitation, any capital gains tax.
28

1 "New Direct-Owned Company Preferred Equity Interests" means the new preferred equity
2 interests in the Direct-Owned Companies issued to the Plan Trust on the Effective Date in
3 accordance with Section III.J.1. The New Directly Owned Company Preferred Equity Interests
4 shall be non-voting interests.

5 "Non-Ordinary Course Administrative Claim(s)" means Administrative Claims that are not
6 Ordinary Course Administrative Claims, Administrative Tax Claims, or Professional Fee Claims,
7 including Claims that may arise from agreements entered into with the Estate after the Petition
8 Date other than trade agreements.

9 "Ordinary-Course Administrative Claim" means Administrative Claims other than
10 Administrative Tax Claims, Professional-Fee Claims, and Non-Ordinary-Course Administrative
11 Claims, based upon liabilities that Debtors incur in the ordinary course of their business.

12 "OUST" means the Office of the United States Trustee, Santa Ana Division.

13 "Person" means any individual, corporation, general partnership, limited partnership,
14 limited liability company, association, joint-stock company, joint venture, estate, trust,
15 government, political subdivision, governmental unit (as defined in the Bankruptcy Code), official
16 committee appointed by the OUST, unofficial committee of creditors or equity holders, or entity.

17 "Petition Date" refers to October 3, 2021, the day that Mr. Donald Chae filed his chapter
18 11 petition.

19 "Plan" means the Chapter 11 Plan, including any modifications or amendments to the Plan.

20 "Plan Trust" means the trust created under the Plan for the benefit of creditors holding
21 Allowed Debt Claims.

22 "Plan Trustee" means Bradley Sharp of Development Specialists, Inc.

23 "Post-Petition Shady Bird Sherwood Action" shall mean the post-petition action
24 commenced by Shady Bird Lending, LLC against Eun Hee Chae in the Los Angeles Superior
25 Court, as case number 21STCV37075, on October 7, 2021.

26 "Priority Claim" means an Allowed Claim entitled to priority against an Estate under
27 Bankruptcy Code §§ 507(a)(3), 507(a)(4), 507(a)(5), 507(a)(6), or 507(a)(7).
28

1 "Priority Tax Claim" means an Allowed Claim entitled to priority against an Estate under
2 Bankruptcy Code § 507(a)(8).

3 "Professional Fee Claim" means:

- 4 a. A Claim under Bankruptcy Code §§ 327, 328, 330, 331, 503, or 1103 for
5 compensation for professional services rendered or expenses incurred on an Estate's
6 behalf, or
7 b. A Claim either under Bankruptcy Code § 503(b)(4) for compensation for
8 professional services rendered or under Bankruptcy Code § 503(b)(3)(D) for
9 expenses incurred in making a substantial contribution to an Estate.

10 "Project" means real property owned by any direct or indirect subsidiary of a Direct-
11 Owned Company.

12 "Project Expenses" means the sum of the following: (a) the costs of owning, leasing,
13 operating, managing, maintaining, repairing, subleasing and improving the Project; (b) all debt
14 service or other payments required to be made under any loan documents, including, without
15 limitation, the payment of principal, interest, servicing fees, real estate tax and insurance
16 impounds, and escrows and other reserves required to be paid in accordance with any loan
17 documents, (c) the fees and expenses payable or reimbursable to any property manager or other
18 manager and fees and expenses for leasing, asset and construction management services; and (d)
19 to the extent not paid pursuant to clause (a) above, costs incurred in connection with expenditures
20 for improvements and capital repairs to a Project.

21 "Reorganized Debtor" means Donald Chae upon and after the Effective Date and as
22 reorganized under by the Plan.

23 "Request for Payment" means a request for the allowance and payment of a Non-Ordinary
24 Course Administrative Claim pursuant to 11 U.S.C. § 503(a).

25 "Schedules" means the Schedules of Assets and Liabilities and the Statement of Financial
26 Affairs filed by the Debtor in the Case, as required by § 521(1) of the Code, Bankruptcy Rules
27 1007(a)(3) and (b)(1), and Official Bankruptcy Form No. 6, as the Schedules of Assets and
28

Liabilities and/or the Statement of Financial Affairs may have been or may be amended from time to time, including, without limitation, Docket Nos. 56, 82, and 265.

"Sherwood Property" means the real property located at 2200 Sherwood Road, San Marino, CA 91108.

"Subject Company" means the Direct-Owned Companies and any entity in which a Direct-Owned Company holds an ownership interest in either directly or indirectly through another company as of the Effective Date.

"TSH" means The Source Hotel, LLC.

"Undeliverable Distribution" means a Distribution to any Holder of an Allowed Claim that is returned to the Liquidating Trustee as undeliverable or otherwise unclaimed.

B. Rules of Construction

The rules of construction in Bankruptcy Code section 102 apply to the Plan. For the purpose of this Plan, unless otherwise provided in this Plan, (i) whenever from the context it is appropriate, each term, whether stated in the singular or the plural, shall include both the singular and the plural; (ii) each pronoun stated in the masculine, feminine or neuter shall include the masculine, feminine and neuter; (iii) any reference in this Plan to an existing document, Exhibit or schedule filed or to be filed means such document or schedule as it may have been or may be amended, modified or supplemented pursuant to this Plan; (iv) any reference to an entity as a holder of a Claim or Interest includes that entity's successors and assigns; (v) except as otherwise stated herein, all references in this Plan to Sections, Articles and Exhibits are references to Sections, Articles and Exhibits of or to this Plan; (vi) the words "herein," "hereunder" and "hereto" refer to this Plan in its entirety rather than to a particular portion of this Plan; (vii) unless otherwise provided in this Plan, any reference in this Plan to a contract, instrument, release, indenture, agreement, or other document being in a particular form or on particular terms and conditions means that such document shall be substantially and materially in such form or substantially and materially on such terms and conditions; and (viii) the rules of construction set forth in Section 102 of the Bankruptcy Code shall apply to the extent such rules are not inconsistent with the express terms of this Plan or any other provision in this Section.

C. Rules of Interpretation

Except as otherwise provided in the Plan, Bankruptcy Rule 9006(a) applies when computing any time period under the Plan.

Any term used in the Plan that is not a Defined Term, but that is used in the Bankruptcy Code or Bankruptcy Rules has the meaning assigned to such term in the Bankruptcy Code or Bankruptcy Rules, as applicable, unless the context requires otherwise.

The definition given to any term or provision in the Plan supersedes and controls any different meaning that may be given to that term or provision in the Disclosure Statement.

Whenever it is appropriate from the context, each term, whether stated in the singular or the plural, includes both the singular and the plural.

Any reference to a document or instrument being in a particular form or on particular terms means that the document or instrument will be substantially in that form or on those terms or as amended by the terms thereof.

Any reference to an existing document means the document as it has been, or may be, amended or supplemented.

Unless otherwise indicated, the phrase "under the Plan" and similar words or phrases refer to this Plan in its entirety rather than to only a portion of the Plan.

Unless otherwise specified, all references to Sections or Exhibits are references to this Plan's Sections or Exhibits.

Section captions and headings are used only as convenient references and do not affect this Plan's meaning.

D. Plan Exhibits

The Exhibits to the Plan are as follows:

Exhibit 1 – Chapter 11 Financial Projections

Exhibit 2 – Hypothetical Chapter 7 Liquidation Analysis

Exhibit 3 – Class 7 – General Unsecured Claims List

Exhibit 4 – Schedule of Alleged Transfers

EXHIBIT "1"

Donald Chae
Chapter 11 Financial Projections

Year	2023	2024	2025	2026	Total
Projected Sources of Cash					
22003 Pacific Coast Highway, Net of Selling Costs	\$ 6,742,500	\$ -	\$ -	\$ -	\$ 6,742,500
6840 Beach Blvd, Net of Selling Costs	1,590,508	-	-	-	1,590,508
3849 Carbon Canyon, Net of Selling Costs	1,395,000	-	-	-	1,395,000
Distributions from Equity Interest in Debtor Controlled Entities					-
	9,728,008	-	-	-	9,728,008
Projected Uses of Cash					
Chapter 11 Professional Fees	(2,056,154)				(2,056,154)
US Trustee Fees	(56,143)	(480)	(480)	(480)	(57,583)
Income Taxes	(1,406,208)	-	-	-	(1,406,208)
Plan Trustee	(30,000)	(30,000)	(30,000)	(30,000)	(120,000)
Plan Trustee Professional Fees	(30,000)	(30,000)	(30,000)	(30,000)	(120,000)
	(3,578,505)	(60,480)	(60,480)	(60,480)	(3,759,945)
Cash Available for Distributions to Prepetition Creditors	\$ 6,149,503	\$ (60,480)	\$ (60,480)	\$ (60,480)	\$ 5,968,063

Distributions to Prepetition Creditors					Total	Class #	Recovery %
<u>Other Priority Claims</u>							
LA County Tax Collector (Malibu)	-	-	-	-	-	2	100%
LA County Tax Collector (Sherwood)	(5,759)	-	-	-	(5,759)	2	100%
Total Priority Claims	(5,759)	-	-	-	(5,759)		
<u>Secured Claims</u>							
Americredit					-	1	100%
BMW Financial	-	-	-	-	-	4	100%
ASPEC Formerly Pacific City Bank (22003 PCH & 3849 Carbon Canyon)	(3,140,719)	-	-	-	(3,140,719)	5	100%
Placo Investments, LLC (22003 PCH)	-	-	-	-	-	6	0%
United Business Bank (6840 Beach Blvd)	(349,047)	-	-	-	(349,047)		100%
Total Distributions to Secured Creditors	(3,489,767)	-	-	-	(3,489,767)		
Beginning Cash	205,637	2,859,614	2,799,134	2,738,654	205,637		
Net Change in Cash	2,653,976	(60,480)	(60,480)	(60,480)	2,472,536		
Cash Available for Distribution to Non-Priority Unsecured Creditors	2,859,614	2,799,134	2,738,654	2,678,174	2,678,174	7	

Notes

The real property sales are based on going concern value, less selling costs of 7% for real estate commissions, title and escrow costs.

As part of the Plan of Reorganization, Placo Investments will subordinate the \$4,000,000 plus accrued interest, secured claim it holds on the real property located at 22003 Pacific Coast Highway.

As part of the Plan of Reorganization, the net proceeds from the sale of real property located at 3849 Carbon Canyon owned by M+D will be paid to the Plan Trust.

The real property located at 6840 Beach Blvd was sold in January 2023 pursuant to a court approved sale.

The LA County Tax Collector (Malibu) claim was paid in full by M+D Properties.

The secured claim of Americredit will be paid in full, outside of the Plan by Greenland Construction Services, the co-owner and co-borrower on the loan.

The secured claim of BMW will be paid in full, outside of the Plan Trust by Donald Chae.

EXHIBIT "2"

Donald Chae
Hypothetical Chapter 7 Liquidation Analysis

Chapter 7 Liquidation Adjustments										
Item	Going Concern Value	Less Selling Costs	Net Going Concern Value	Going Concern Value	Less Exemptions	Less Liquidation Adjustments [d]	Less Selling Costs	Less Estimated Income Taxes Due Upon Sale	Estimated Ch. 7 Liquidation Proceeds	Difference (Net Going Concern vs. Liquidation Value)
Assets										
Cash	\$ 1,335,634		\$ 1,335,634	\$ 1,335,634	\$ (30,825)				\$ 1,304,809	\$ 30,825
New York Life Insurance Cash Surrender Value	50,869	-	50,869	50,869	(13,975)				36,894	13,975
Equitable Insurance Cash Surrender Value	51,803	-	51,803	51,803					51,803	-
Real Property - Personal Residence (Sherwood)	1,575,000	(110,250)	1,464,750	1,575,000	(600,000)	(157,500)	(99,225)	(150,450)	567,825	896,925
Real Property - 22003 Pacific Coast Highway	7,250,000	(507,500)	6,742,500	7,250,000		(1,250,000)	(420,000)	(1,133,800)	4,446,200	2,296,300
BMW Automobile	28,000	-	28,000	28,000	(5,850)				22,150	5,850
Chevy Colorado	15,343	-	15,343	15,343					15,343	-
Personal Property	7,200	-	7,200	7,200		(5,040)			2,160	5,040
Distribution of Equity Interest in Real Estate Entities			-						-	-
Avoidance Actions	Unknown		Unknown	Unknown					Unknown	
Total	10,313,849	(617,750)	9,696,099	10,313,849	(650,650)	(1,412,540)	(519,225)	(1,284,250)	6,447,184	3,248,915

Notes

[a] Cash on hand plus the proceeds from the sale of 6840 Beach Blvd (donut shop), less estimated income taxes payable on the property of approximately \$115,158.

[b] The property is owned by the spouse of the Debtor and is subject to litigation. Litigation expenses have not been included.

[c] Excludes the real property owned by M+D Properties located at 3849 Carbon Canyon, Malibu, CA. Upon the sale of this property, the net proceeds are the property of M+D.

[d] The liquidation adjustment for the Sherwood property is assumed at 10%. The liquidation adjustment for 22003 Pacific Coast Highway is based on the low range of the broker's opinion of value for a forced sale.

Proceeds Available for Distribution	\$ 6,447,184
Proceeds from Unencumbered Assets Available for Distribution	\$ 1,963,491

			Recovery			
Claims	Class No.	Claim Amount	Ch. 7 \$	Ch. 7 %	Ch. 11 \$	Ch. 11 %
Secured Claims						
BMW Financial	4	\$ (9,019)	\$ 9,019	100%		100%
ASPEC formerly Pacific City Bank (22003 PCH)	5	(3,140,719)	3,140,719	100%	3,140,719	100%
Americredit	1	(15,343)	15,343	100%		
Placo Investments, LLC (22003 PCH)	6	(4,000,000)	1,305,481	32.6%	-	0%
Available Proceeds		-				
Ch.7 Administrative Claims						
Chapter 7 Trustee Fees (326 Commission)		(172,772)	172,772	100%	n/a	n/a
Trustee's Professionals (Legal Fees & Financial)		(345,544)	345,544	100%	n/a	n/a
Available Proceeds		1,445,175				
Other Administrative Claims						
Chapter 11 Professional Fees		(2,056,154)	1,445,175	70.3%	2,056,154	100%
Proceeds Available for Distribution to Unsecured Creditors		-				
Unsecured Claims						
Priority	2	-	-		-	100%
Non-Priority Unsecured	7	-	-		2,678,174	

EXHIBIT "3"

CLASS 7 – GENERAL UNSECURED CLAIMS

Claimant	Asserted Claim Amount¹	Claim (POC or Scheduled)
6555 Beach LLC	\$3,000,000.00	POC No. 16
Abra Lending	\$6,000,000.00	POC No. 21
American Contractors Indemnity Company	\$10,104.00	POC No. 24
AT&T	\$40.95	Scheduled; No POC filed
AT&T (Direct TV)	\$111.21	Scheduled; No POC filed
Athens Services	\$139.88	Scheduled; No POC filed
Beach Orangethorpe Hotel II, LLC	\$11,500,000.00	POC No. 12
Beach Orangethorpe Hotel III, LLC	\$14,500,000.00	POC No. 6
Beach Orangethorpe Hotel, LLC	\$10,000,000.00	POC No. 7
BO Lenders United, LLC	\$172,617,015.99	POC No. 8
California American Water	\$33.91	Scheduled; No POC filed
Chen Hu	\$500,000.00	POC No. 27
Equitable	\$136.00	Scheduled; No POC filed
GAP Visa/Synchrony Bank	\$13.23	Scheduled; No POC filed
Guannan Shi	\$500,000.00	POC No. 30
Guo Kun	\$500,000.00	POC No. 29
Ho Bin Ninh	\$1,000,000.00	POC No. 15
Jianchi Chen	\$500,000.00	POC No. 26
JP Morgan Chase	\$38,673.84	POC No. 3
JP Morgan Chase	\$5,248.56	POC No. 4-2
Manh Thong Nguyen	\$500,000.00	POC No. 18
Nationwide Insurance Co of America	\$145.58	Scheduled (Auto); No POC filed
Nationwide Insurance Co of America	\$198.43	Scheduled (Homeowners Insurance); No POC filed
Northstar Demolition & Remediation	\$53,948.00	POC No. 11
Peng Jing	\$500,000.00	POC No. 28

¹ The claim amounts represent the amounts asserted by the claimants and shall not be construed as an admission by the Debtor and the validity and amount of each claim remain subject to the rights of the Debtor or any other party in interest to object.

CLASS 7 – GENERAL UNSECURED CLAIMS

Claimant	Asserted Claim Amount¹	Claim (POC or Scheduled)
Preferred Bank	\$994,620.08	POC No. 14
Quang Cong Nguyen	\$500,000.00	POC No. 17
Quang D Tran	\$500,000.00	POC No. 19
RCS Safety	\$82,502.50	POC No. 9
Shady Bird Lending, LLC	\$31,931,000.70	POC No. 5
SoCalGas	\$25.48	Scheduled; No POC filed
Southern California Edison	\$69.61	Scheduled; No POC filed
Spectrum	\$84.99	Scheduled; No POC filed
Woori America Bank	\$9,166,646.00	POC No. 22
Xiaoping Cao	\$500,000.00	POC No. 25
YG Entertainment	\$5,225,000.00	POC No. 20
Yubing Yuan	\$500,000.00	POC No. 31
TOTAL	\$271,125,758.94	

EXHIBIT "4"

SCHEDULE OF ALLEGED TRANSFERS

Date	Amount	Recipient
12/26/2017	\$14,000	Leslie Chae
12/27/2017	\$14,000	Estelle Chae
2/26/2018	\$80,000	Estelle Chae
3/15/2018	\$14,000	Leslie Chae
3/19/2018	\$880,000	Estelle Chae
4/20/2018	\$14,000	Estelle Chae
1/4/2019	\$10,000	Justine Chae
1/07/2019	\$15,000	Estelle Chae
1/07/2019	\$650	Estelle Chae
1/22/2019	\$15,000	Leslie Chae
2/28/2019	\$20,400	Min Chae
12/30/2019*	\$15,000	Estelle Chae
12/30/2019*	\$15,000	Estelle Chae
1/02/2020*	\$15,000	Leslie Chae
1/02/2020*	\$15,000	Leslie Chae

* These alleged transfers are the same transfers dated December 14, 2019 disclosed in Exhibit "8" to the Disclosure Statement.

PROOF OF SERVICE OF DOCUMENT

I am over the age of 18 and not a party to this bankruptcy case or adversary proceeding. My business address is 3200 Park Center Drive, Suite 250, Costa Mesa, CA 92626.

A true and correct copy of the foregoing document entitled (*specify*): **FIRST AMENDED PLAN OF REORGANIZATION OF DONALD CHAE** will be served or was served **(a)** on the judge in chambers in the form and manner required by LBR 5005-2(d); and **(b)** in the manner stated below:

1. TO BE SERVED BY THE COURT VIA NOTICE OF ELECTRONIC FILING (NEF): Pursuant to controlling General Orders and LBR, the foregoing document will be served by the court via NEF and hyperlink to the document. On (*date*) March 10, 2023, I checked the CM/ECF docket for this bankruptcy case or adversary proceeding and determined that the following persons are on the Electronic Mail Notice List to receive NEF transmission at the email addresses stated below:

☒ Service information continued on attached page.

2. SERVED BY UNITED STATES MAIL:

On (*date*) March 10, 2023, I served the following persons and/or entities at the last known addresses in this bankruptcy case or adversary proceeding by placing a true and correct copy thereof in a sealed envelope in the United States mail, first class, postage prepaid, and addressed as follows. Listing the judge here constitutes a declaration that mailing to the judge will be completed no later than 24 hours after the document is filed.

Hon. Scott C. Clarkson
United States Bankruptcy Court
411 West Fourth Street, Suite 5130
Santa Ana, CA 92701-4593

☐ Service information continued on attached page.

3. SERVED BY PERSONAL DELIVERY, OVERNIGHT MAIL, FACSIMILE TRANSMISSION OR EMAIL
(*state method for each person or entity served*): Pursuant to F.R.Civ.P. 5 and/or controlling LBR, on (*date*) _____, I served the following persons and/or entities by personal delivery, overnight mail service, or (for those who consented in writing to such service method), by facsimile transmission and/or email as follows. Listing the judge here constitutes a declaration that personal delivery on, or overnight mail to, the judge will be completed no later than 24 hours after the document is filed.

☐ Service information continued on attached page.

I declare under penalty of perjury under the laws of the United States that the foregoing is true and correct.

March 10, 2023
Date

Gabriela Gomez-Cruz
Printed Name

/s/ Gabriela Gomez-Cruz
Signature

1. **SERVED BY THE COURT VIA NOTICE OF ELECTRONIC FILING (“NEF”)**

- Alexander F Berk alexander.berk@bfkn.com, courtnotification@mayerbrown.com
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- Gerrick Warrington gwarrington@frandzel.com, achase@frandzel.com
- Edward Wu ewu@reidwise.com

This form is mandatory. It has been approved for use by the United States Bankruptcy Court for the Central District of California.